



Develop a marketing strategy and coordinate sales activities

D1.HCS.CL6.01

D1.HSM.CL5.03

D2.TTA.CL2.09

D2.TCS.CL5.05

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Trainee Manual



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Introduction to trainee manual

To the Trainee

Congratulations on joining this course. This Trainee Manual is one part of a 'toolbox' which is a resource provided to trainees, trainers and assessors to help you become competent in various areas of your work.

The 'toolbox' consists of three elements:

- A Trainee Manual for you to read and study at home or in class
- A Trainer Guide with Power Point slides to help your Trainer explain the content of the training material and provide class activities to help with practice
- An Assessment Manual which provides your Assessor with oral and written questions and other assessment tasks to establish whether or not you have achieved competency.

The first thing you may notice is that this training program and the information you find in the Trainee Manual seems different to the textbooks you have used previously. This is because the method of instruction and examination is different. The method used is called Competency based training (CBT) and Competency based assessment (CBA). CBT and CBA is the training and assessment system chosen by ASEAN (Association of South-East Asian Nations) to train people to work in the tourism and hospitality industry throughout all the ASEAN member states.

What is the CBT and CBA system and why has it been adopted by ASEAN?

CBT is a way of training that concentrates on what a worker can do or is required to do at work. The aim of the training is to enable trainees to perform tasks and duties at a standard expected by employers. CBT seeks to develop the skills, knowledge and attitudes (or recognise the ones the trainee already possesses) to achieve the required competency standard. ASEAN has adopted the CBT/CBA training system as it is able to produce the type of worker that industry is looking for and this therefore increases trainees' chances of obtaining employment.

CBA involves collecting evidence and making a judgement of the extent to which a worker can perform his/her duties at the required competency standard. Where a trainee can already demonstrate a degree of competency, either due to prior training or work experience, a process of 'Recognition of Prior Learning' (RPL) is available to trainees to recognise this. Please speak to your trainer about RPL if you think this applies to you.

What is a competency standard?

Competency standards are descriptions of the skills and knowledge required to perform a task or activity at the level of a required standard.

242 competency standards for the tourism and hospitality industries throughout the ASEAN region have been developed to cover all the knowledge, skills and attitudes required to work in the following occupational areas:

- Housekeeping
- Food Production
- Food and Beverage Service
- Front Office

- Travel Agencies
- Tour Operations.

All of these competency standards are available for you to look at. In fact you will find a summary of each one at the beginning of each Trainee Manual under the heading 'Unit Descriptor'. The unit descriptor describes the content of the unit you will be studying in the Trainee Manual and provides a table of contents which are divided up into 'Elements' and 'Performance Criteria'. An element is a description of one aspect of what has to be achieved in the workplace. The 'Performance Criteria' below each element details the level of performance that needs to be demonstrated to be declared competent.

There are other components of the competency standard:

- *Unit Title*: statement about what is to be done in the workplace
- *Unit Number*: unique number identifying the particular competency
- *Nominal hours*: number of classroom or practical hours usually needed to complete the competency. We call them 'nominal' hours because they can vary e.g. sometimes it will take an individual less time to complete a unit of competency because he/she has prior knowledge or work experience in that area.

The final heading you will see before you start reading the Trainee Manual is the 'Assessment Matrix'. Competency based assessment requires trainees to be assessed in at least 2 – 3 different ways, one of which must be practical. This section outlines three ways assessment can be carried out and includes work projects, written questions and oral questions. The matrix is designed to show you which performance criteria will be assessed and how they will be assessed. Your trainer and/or assessor may also use other assessment methods including 'Observation Checklist' and 'Third Party Statement'. An observation checklist is a way of recording how you perform at work and a third party statement is a statement by a supervisor or employer about the degree of competence they believe you have achieved. This can be based on observing your workplace performance, inspecting your work or gaining feedback from fellow workers.

Your trainer and/or assessor may use other methods to assess you such as:

- Journals
- Oral presentations
- Role plays
- Log books
- Group projects
- Practical demonstrations.

Remember your trainer is there to help you succeed and become competent. Please feel free to ask him or her for more explanation of what you have just read and of what is expected from you and best wishes for your future studies and future career in tourism and hospitality.

Unit descriptor

Develop a marketing strategy and coordinate sales activities

This unit deals with the skills and knowledge required to Develop a marketing strategy and coordinate sales activities in a range of settings within the hotel and travel industries workplace context.

Unit Code:

D1.HCS.CL6.01
D1.HSM.CL5.03
D2.TTA.CL2.09
D2.TCS.CL5.05

Nominal Hours:

100 hours

Element 1: Collect and analyse information on the business environment

Performance Criteria

- 1.1 Identify and analyse information on expected market growth or decline with associated risk factors
- 1.2 Gather and analyse comparative market information
- 1.3 Identify and analyse industry and customer trends and developments, including emerging issues and technology
- 1.4 Identify and analyse the legal and ethical constraints of the market and potential business impacts
- 1.5 Identify and analyse capabilities and resources
- 1.6 Record and report information in accordance with enterprise requirements

Element 2: Prepare marketing strategies or plans

Performance Criteria

- 2.1 Identify and analyse opportunities based on internal and external market analysis
- 2.2 Develop marketing and sales strategies that are consistent with the direction, values and business plans of the enterprise
- 2.3 Develop strategies in consultation with key stakeholders that clearly identify business goals and outcomes
- 2.4 Prepare marketing strategies that reflect legal and ethical constraints
- 2.5 Provide timely opportunities for colleagues to contribute to the marketing plan and approach
- 2.6 Submit marketing plan for approval in accordance with enterprise policy

Element 3: Implement and monitor marketing activities and sales strategies

Performance Criteria

- 3.1 Define and communicate clearly all priorities, responsibilities, timelines and budgets, involving all appropriate colleagues
- 3.2 Implement and monitor actions detailed in the plan/s in a cost-efficient manner and according to schedule and contingencies
- 3.3 Produce reports in accordance with enterprise policy
- 3.4 Share information on marketing activities and sales strategies with staff to maintain awareness of current enterprise focus

Element 4: Implement sales policies and procedures

Performance Criteria

- 4.1 Implement and monitor adherence to enterprise policy and procedures and relevant legislation in regard to selling
- 4.2 Implement and monitor organisation policy and procedures in regard to sales transactions
- 4.3 Monitor team to ensure information is entered into point of sale equipment accurately
- 4.4 Monitor team to ensure the efficient and safe handling of goods through point of sale areas
- 4.5 Monitor team to ensure that products and services are matched to customers' needs

Element 5: Monitor achievement of sales targets, business goals and outcomes

Performance Criteria

- 5.1 Monitor and record individual and department sales targets according to enterprise policy and procedures
- 5.2 Monitor and record sales results in line with sales targets and according to enterprise policy and procedures
- 5.3 Provide feedback to management and staff on sales performance in relation to sales targets and planning

Element 6: Determine factors affecting attainment of sales targets

Performance Criteria

- 6.1 Regularly monitor progress towards sales targets
- 6.2 Evaluate factors affecting sales performance against the agreed sales targets
- 6.3 Anticipate and address factors likely to impinge upon attainment of sales targets
- 6.4 Approve amended or new sales targets according to business policy and procedures

Element 7: Conduct ongoing evaluation

Performance Criteria

- 7.1 Evaluate marketing and sales activities using agreed parameters and benchmarks
- 7.2 Make adjustments in accordance with evaluation
- 7.3 Communicate and implement agreed changes promptly

Assessment matrix

Showing mapping of Performance Criteria against Work Projects, Written Questions and Oral Questions

The Assessment Matrix indicates three of the most common assessment activities your Assessor may use to assess your understanding of the content of this manual and your performance - Work Projects, Written Questions and Oral Questions. It also indicates where you can find the subject content related to these assessment activities in the Trainee Manual (i.e. under which element or performance criteria). As explained in the Introduction, however, the assessors are free to choose which assessment activities are most suitable to best capture evidence of competency as they deem appropriate for individual students.

		Work Projects	Written Questions	Oral Questions
Element 1: Collect and analyse information on the business environment				
1.1	Identify and analyse information on expected market growth or decline with associated risk factors	1.1	1	1
1.2	Gather and analyse comparative market information	1.2	2	2
1.3	Identify and analyse industry and customer trends and developments, including emerging issues and technology	1.3	3	3
1.4	Identify and analyse the legal and ethical constraints of the market and potential business impacts	1.4	4	4
1.5	Identify and analyse capabilities and resources	1.5	5	5
1.6	Record and report information in accordance with enterprise requirements	1.6	6	6

		Work Projects	Written Questions	Oral Questions
Element 2: Prepare marketing strategies or plans				
2.1	Identify and analyse opportunities based on internal and external market analysis	2.1	7	7
2.2	Develop marketing and sales strategies that are consistent with the direction, values and business plans of the enterprise	2.2	8	8
2.3	Develop strategies in consultation with key stakeholders that clearly identify business goals and outcomes	2.3	9	9
2.4	Prepare marketing strategies that reflect legal and ethical constraints	2.4	10	10
2.5	Provide timely opportunities for colleagues to contribute to the marketing plan and approach	2.5	11	11
2.6	Submit marketing plan for approval in accordance with enterprise policy	2.6	12	12
Element 3: Implement and monitor marketing activities and sales strategies				
3.1	Define and communicate clearly all priorities, responsibilities, timelines and budgets, involving all appropriate colleagues	3.1	13	13
3.2	Implement and monitor actions detailed in the plan/s in a cost-efficient manner and according to schedule and contingencies	3.2	14	14
3.3	Produce reports in accordance with enterprise policy	3.3	15	15
3.4	Share information on marketing activities and sales strategies with staff to maintain awareness of current enterprise focus	3.4	16	16
Element 4: Implement sales policies and procedures				
4.1	Implement and monitor adherence to enterprise policy and procedures and relevant legislation in regard to selling	4.1	17	17
4.2	Implement and monitor organisation policy and procedures in regard to sales transactions	4.2	18	18
4.3	Monitor team to ensure information is entered into point of sale equipment accurately	4.3	19	19
4.4	Monitor team to ensure the efficient and safe handling of goods through point of sale areas	4.4	20	20
4.5	Monitor team to ensure that products and services are matched to customers' needs	4.5	21	21

		Work Projects	Written Questions	Oral Questions
Element 5: Monitor achievement of sales targets, business goals and outcomes				
5.1	Monitor and record individual and department sales targets according to enterprise policy and procedures	5.1	22	22
5.2	Monitor and record sales results in line with sales targets and according to enterprise policy and procedures	5.2	23	23
5.3	Provide feedback to management and staff on sales performance in relation to sales targets and planning	5.3	24	24
Element 6: Determine factors affecting attainment of sales targets				
6.1	Regularly monitor progress towards sales targets	6.1	25	25
6.2	Evaluate factors affecting sales performance against the agreed sales targets	6.2	26	26
6.3	Anticipate and address factors likely to impinge upon attainment of sales targets	6.3	27	27
6.4	Approve amended or new sales targets according to business policy and procedures	6.4	28	28
Element 7: Conduct ongoing evaluation				
7.1	Evaluate marketing and sales activities using agreed parameters and benchmarks	7.1	29	29
7.2	Make adjustments in accordance with evaluation	7.2	30	30
7.3	Communicate and implement agreed changes promptly	7.3	31	31

Glossary

Term	Definition
Account	An assignment of customers, organisations or regions to a sales person
Asset	Something the business owns or is owed
Benchmarking	Any standard or reference by which others can be measured or judged
Break-even analysis	Determines at which point sales begin to cover costs
Company profile	Summary information about a company
CSI	Customer Satisfaction Index
Customer Profile	Information relating to a particular customer
Data	Piece of sales related information
Distribution	How your products or services are sold to end users
E-business	Electronic based business
EEO	Equal employment opportunity
Ethics	Moral rights and wrongs
External environment	Focus on forces outside the business
Feasibility	A determination of the initial viability of the core business concept
Elasticity of demand	How changes in prices will affect demand
External	Outside the organisation
Inseparability	Services cannot be separated from the staff member supplying service
Intangible	Incapable of being perceived by the sense of touch, but still has value
Internal	Inside the organisation

Term	Definition
KPI	Key Performance Indicator
Market	Set of all actual and potential buyers of a product
Marketing	Ascertaining what a customer's needs and wants are through interacting and working with the customer and providing them with a quality product/service that offers them value and satisfaction
Marketing mix	Summary of the marketing strategy and its efforts
Mitigation	The act of making a condition or consequence less severe
OSH	Occupational Safety and Health
Primary data	Fresh, new, original information
Promotion	Activity to generate awareness of an organisation's offering
Prospect	Potential customer
Qualitative data	Reasoning of data
Quantitative data	Statistical data
Secondary data	Information which already exists
SMART	Specific, measurable, achievable, realistic, timely
SOP	Standard Operating Procedure
Stakeholder	A person who has a vested interest in an organisation
SWOT	Strengths, weaknesses, opportunities, threats
Upselling	A way to get your customers to spend more money on your organisation's products or services
USP	Unique Selling Points
Value Proposition	Identification of how an organisation provides value to a customer
Wants	The way in which our customer would prefer to satisfy a specific need.

Element 1:

Collect and analyse information on the business environment

1.1 Identify and analyse information on expected market growth or decline with associated risk factors

Introduction

In summary, tourism involves all activities that take people away from their usual place of residence for any reason. Common reasons include holidays, recreation, business, visiting and experiencing new cultures and to visit family and friends.

Any business that is utilised during any part of travel is associated with the tourism industry.

The tourism industry is one of the largest industries in the world and for many countries is its major economy and employer. Tourism has become a very significant global activity and as disposable income and the ease of travel continues to prosper, so will the tourism industry.

Industry knowledge is a vital pre-requisite for effective performance within the industry.

This manual will explore how and where to gather information regarding different aspects of the tourism industry and how to incorporate this marketing knowledge to improve your offering for customers.



Importance of marketing in tourism industry

Marketing and sales are pivotal activities that need to be performed by any hospitality and tourism organisation. In fact no business, regardless of industry, size or purpose will succeed without careful consideration paid to its marketing and sales strategy.

This manual will focus on how marketing and sales should be planned and coordinated in the hope of not only increasing customer satisfaction but also to help develop a business towards success.



Marketing vs Sales

So what is the difference between marketing and sales?

In the past many companies developed an 'offering', made up of various products and services, which they thought the customer might like and then try to 'sell' it to them.

In many cases these 'offerings' were internally focused and were designed to ensure sufficient profits for an organisation.

Marketing is different in the fact that it aims to understand the customer before selling an offering to them.

Naturally for any business to succeed, it must be customer focused and try to:

- Understand what the customer wants
- Try to develop an offering to meet these needs
- Identify the best way to make people aware of the offering
- Motivate people to partake of the offering.

As it can be seen above it is important to note that marketing is a logical step before selling.

Before we look at the activities associated with marketing in a hospitality or tourism environment it is important to understand:

- The concept of marketing
- Key marketing components
- Tourism marketing
- Services marketing
- Marketing mix.



Concept of marketing

Marketing involves ascertaining what a customer's needs and wants are through interacting and working with the customer and providing them with a quality product/service that offers them value and satisfaction.

As previously mentioned, all or most marketing activities today are directed toward developing relationships and customer retention. In the past, marketing and selling activities were seen as short-term activities designed to make a sale, with little attention paid to the return business of that customer.

Therefore, even though selling and advertising are the very visible aspects of marketing, they are only part of a larger marketing mix. The components of this marketing mix will be discussed later in this section.

Key marketing components

To understand this definition of marketing and the marketing planning and strategy process that will follow, it is important that the learner understand some key concepts in this definition.

Knowing all about customer needs is the cornerstone to effective marketing. Knowing how to develop and promote these 'offerings' is essential in ensuring customer satisfaction and business success.

Following are some of the key components associated with marketing.

Needs

These underlie wishes and expectations and are the things customers are unable to do without. They may be in a foreign town and simply cannot do without a bed for the night, a meal or beverage.



Wants

These refer to the way in which our customer would prefer to satisfy a specific need.

Wants are needs which are shaped, determined and learned by the society or culture that they live in. As a culture develops, its people's wants are expanded as people are exposed to more and more possibilities of satisfying this want.

A Market

This is the set of all actual and potential buyers of a product

Products

These are physical objects, services, persons, places, organisations and ideas that can be offered to a market or individual to satisfy a need or want. The distinction between a product and service is not clear, as there are often elements of both in each.



Companies need to concentrate not on the physical product itself, but rather on the benefits that they provide to the customer.

Customer value

This is the difference between the values the customer gains from owning and using a product and the costs of obtaining the product. Often customers are not very accurate at assessing value and use their own perceived value.

Customer satisfaction

This is the extent to which the perceived performance of products or services matches buyer expectations.

Relationship Marketing

This is the process of creating, maintaining and enhancing strong, value laden relationships with customers and other stakeholders.

Tourism marketing

Whilst the concept of marketing is important in every industry, these are some unique qualities of the tourism industry which will impact and influence a marketing approach.

Specific marketing requirements of the tourism industry are:

- Shorter exposure to services
- More emotional and irrational buying appeals
- Greater importance on managing evidence
- Greater emphasis on stature and imagery
- More variety and types of distribution channels
- Dependence on complementary organisations
- Easier copying of services
- More emphasis on off-peak production.



Unique relationships with tourism marketing are:

- Suppliers, carriers and travel trade
- Destination mix concept: attractions and events (draw visitors) facilities infrastructure and transportation amenities, hospitality resources
- Visitors and local residents
- Managing the three preceding relationships

Why marketing is important in tourism:

- It helps guarantee long-term profitability
- It influences how the organisation structures itself
- It gives the organisation an edge over its competitors
- It plans for new products and services development
- Staff are seen by patrons to be part of the service product
- Staff can be trained to encourage the use or sale of products or services available and are valued for it.



Services marketing

Pure services are activities or benefits which are intangible, inseparable or perishable (they do not result in ownership). However, very few services are truly pure services, so products are defined to include services as well. Products and services usually run on a continuum, with both types usually involving some element of the other.

In hospitality/tourism the product and service offering is combined to meet customer needs and consists of the following elements:

- A tangible product
- Environment
- Services.

Because goods are physical things, when you buy them you own them, and you can see, touch and easily compare them to other similar goods. On the other hand, a service is a deed performed by one party for another and the customer generally cannot keep it. A service is used, consumed and experienced all at once.



The characteristics of services are:

- Intangibility
- Inseparability
- Perishability
- Variability.

Intangibility

Because it is not physical goods that you can see, it becomes more difficult to know exactly what you are buying. Hence, increased risk and uncertainty is involved in the purchase decision. Buyers often resort to word-of-mouth or use price as a guide to quality.

Inseparability

Goods are usually produced, stored and then consumed, whereas services are produced and consumed in the same place at the same time. Sometimes called the 'moment of truth', this moment provides management with a unique opportunity to collect direct feedback from its source.



Perishability

A manufactured product not sold today can be stored and sold tomorrow with little additional cost incurred. Services cannot be produced in large, economic quantities and then transported to customers, avoiding or balancing extreme situations of peak demand or oversupply.

Variability

With a manufactured product, quality control can be built into the production process. Service products vary because:

- Services are people based and employee performance varies
- It is difficult to monitor the service product when the customer is present during production and/or the service is on a one-to-one basis.

One of the most effective strategies available to service marketers to reduce the potential variability of the product is to undertake a continuous and comprehensive staff training program.



Non-ownership

With services, it is not intended that the customer have any more than the temporary ownership or use of any tangible product used in the production of their service.

The marketing mix

The marketing mix is a critical aspect of any marketing initiative as it focuses on all aspects of how an organisation focuses its efforts towards ensuring:

- Business success
- Customer satisfaction.

The original 4P's

The original four "P's" in a marketing mix were:

Products

This is the development of offerings focused towards the customer needs and wants.

These are the goods and services that are offered to the target market by the company including a focus on:

- Range of products and services
- Unique points of difference
- Variety
- Quality
- Design
- Features
- Brand name, awareness and loyalty
- Packaging
- Sizes or variations in offering
- Add-ons
- Warranties.



Price

In summary, this is how much it will cost the customer.

This refers to the amount of money that customers, suppliers or intermediaries have to pay to buy the product and should also include consideration of:

- Yield management
- Perceived value
- Elasticity of demand
- Competing prices
- Discounts
- Payment options.



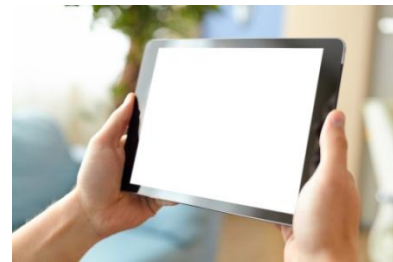
Placement

This focuses on the convenience for customers in accessing the offering.

Naturally the role of placement in a hospitality or tourism environment is different to other industries in that customers often need to come to a specific location to experience the offering.

This involves how the company gets information or the actual product to the final consumer, including decisions regarding:

- Awareness of options
- Access to information
- Total Quality Management
- Demand chain management.



Promotion

In summary this is the way a customer is made aware of an offering.

This covers the firm's communication activities to its target customers by way of:

- Advertising
- Promotion
- Personal selling
- Sales promotion
- Direct marketing
- Synchronous marketing
- Public relations
- Publicity.



The 3 new P's

Today, with the advent of services marketing, some different variables that are also key factors in the marketing process have come to light. These are people, processes and physical evidence.

People

This refers to the people who are involved in service delivery. This is particularly important where services predominate and there is a high level of intangibility. Here, the building of customer relationships over time is critical.



Processes

These are important where the customer is involved in the consumption process. This is highlighted in the hospitality industry where, if the customer is treated poorly or receives poor service, they are likely to migrate to a competitor no matter what facilities or products are offered, as the customer will perceive this process as poor value for money.



It is important to note that technology is also important in relation to conversion operations and service delivery.

Physical evidence

This will be analysed by the customer in order to assess the value of a service. In hospitality and tourism, physical evidence is important (i.e. ensuring that hygiene practices in an establishment are maintained, and that staff are well presented, courteous and friendly).

Marketing planning and management

Now that we have looked at the key terms and concepts involved in any marketing initiative it is now time to explore how to identify and control the marketing effort.

Marketing management is the analysis, planning, implementation and control of programs designed to create, build and maintain beneficial exchanges with the target buyers for the purpose of achieving organisational objectives.

It is about managing and responding to variances in demand for the product, or demand management. The reality is that over the product's life, demand will vary. Marketers must be constantly aware of these changes in demand and should devise strategies to deal with them.

It is important to note that the idea of marketing planning must start before any market analysis has begun. That is, the organisation needs to plan its marketing activities on two levels:

- The strategic marketing plan
- The tactical marketing plan.

The strategic marketing plan develops the broad marketing objectives based on a current situation analysis and identification of current opportunities.

The tactical marketing plan outlines specific marketing tactics or operations. The marketing plan is the central document for directing and coordinating the marketing effort.



What is market analysis?

Market analysis provides us with the information necessary to formulate the marketing plan and its evaluation. This includes:

- Understanding ways to research and gather information
- Analysing the current situation and marketing strategies
- Conducting a thorough external environmental analysis:
 - Micro-environmental analysis
 - Macro-environmental analysis
- Analysing market opportunities
- Researching and selecting target markets
- Designing marketing strategies
- Planning marketing programs
- Implementing, organising and controlling the marketing effort.



Market analysis is a fairly generic term that describes an activity that we are constantly conducting in order to target the right person with the right product/service at the right time in context with the workings of the market, our environment and our competition.

Types of research

As mentioned, marketing is all about research. As identified research should be designed to identify:

- What the customer wants – needs, wants and expectations
- What we are currently offering to the customer – products and services
- What we can improve.

Research can be defined as a search for knowledge conducted on an informal and formal basis.

This knowledge should be used as the basis for customer-focused action.



Primary and secondary data

Research can be categorised into two main types: primary data and secondary data.

Primary data

Primary data is fresh, new, original information you discover, uncover, find or bring to light.

Primary data collection methods include:

- In-house observation – watching people, watching what goes on
- Conducting interviews – with customers, staff, suppliers to find out why they do what they do, what they prefer, what they like or dislike about the venue
- Applying questionnaires – to customers as they leave the venue, after they have made a purchase, or as they visit the property. The questionnaires can seek answers to a range of topics including customer service delivery standards
- Conducting surveys – such as using focus groups to provide feedback to the venue about customer service.



Primary data is very useful as it is not only structured to finding out data that is specific to your organisation; it allows you to gain a firsthand understanding and explanation of results.

Secondary data

Secondary data is information which already exists somewhere in the world. It could be within the organisation, or research conducted by another organisation, but which you bring together to use to help shed light on the topic central to the research.

Secondary data collection techniques include:

- Reading newspapers, books, magazines, trade journals and the media
- Researching library catalogues and other sources
- Subscribing to on-line computer information systems
- Analysing trading figures, occupancy and booking statistics, costs, profit and any other relevant internal information.



Secondary data is a great tool to use when you are limited on time, require broader industry information and that which you could not collect yourself.

It provides sound evidence which is helpful in seeking to improve service.

Quantitative and qualitative data

Research data can further be separated into quantitative data (known as 'hard data') and qualitative data (known as 'soft data').

Quantitative data

Quantitative data is statistical in nature.

It deals with 'quantifying' things such as:

- The number of times a person visits the premises
- The amount of money they spend
- The number of minutes they are kept waiting for service
- Their satisfaction rating in % terms with our service



Qualitative data

Qualitative data is important in a service industry because it answers the 'Why?' questions such as:

- Why do they conduct our tours?
- What inclusions do they seek in a tour?



Activity 1 - Identify sources of market information

Briefly identify five sources of information that you may use to collect market information. Identify what information can be collected from each of these sources.



1.2 Gather and analyse comparative market information

Introduction

Now that we have identified the key areas of marketing planning, it is vital that we start to gain a detailed, complete and accurate understanding of our current operations, internal and external influences on our business.

Research into all influencing factors of the operation is important in ensuring the offering to the customer is appropriate in meeting their needs.

Concept of analysing information

Analyse refers to analysis activities for a specific market and may include consideration of:

- Location
- Product and service mix
- Packaging or presentation
- Quality factors (time, cost, variations)
- Access
- Continuity.

Information may include:

- Current performance data
- Sales and contracts
- Forecasted trends and opportunities
- Available resource commitments and capacity.



Benefits of conducting research

By conducting research it is easier to identify:

- The success of our current marketing efforts
- The changes required to ensure our marketing efforts remain effective
- Current areas of operational success
- Changes required to ensure competitiveness and to
- A competitive advantage.

By identifying both the strong and weak areas of both the marketing approach and operational performance, appropriate changes can be made to help improve the customer experience.

Understand current marketing situation

Now that we have explored different research avenues it is now time to identify areas in which it is to be applied.

The first area for evaluation in marketing planning and management is to understand the current market situation.

Information on the current marketing situation is normally drawn from a database of information that the organisation constantly updates. This includes information on the market, product, competition, current strategies and macro-environment.

Market situation:

- Total market characteristics – size, growth, trends
- Customer needs, perceptions and buying behaviour
- Products – service characteristics
- Prices
- Customer service and distribution
- Channels – principal channels used, stock turnovers, profit
- Communication – principal methods of communication used.



Competitive situation:

- Industry structure – type of competition, marketing methods, new entrants, mergers, competitive arrangements
- The geographic market in which they compete
- Their current marketing performance
- Their competitive position (growing, contracting)
- Strengths and weaknesses, and vulnerabilities of each significant competitor
- Their objectives and competitive strategies
- Industry profitability – financial and non-financial barriers to entry, relative performance of individual companies, volume, source of and cost of investment, effect and return on investment of changes in price.



Product situation:

- For each product or service that the organisation offers, sales, profits, contribution margins and growth should be displayed
- Product lifecycle and expected demand over the product's life should be considered
- Growth of the product or service should be contrasted to total market growth

Current strategies

- Current product, price, place and promotional strategies should be included
- Current people, processes and physical evidence strategies should also be included.



Activity 2 - Conduct market research

You are to create a fictitious travel business of your choice. In order to identify possible opportunities for your business you are to conduct market research.

You are required to undertake research and collect information relating to the market including:

- *Market situation*
- *Competitive situation*
- *Product situation.*



1.3 Identify and analyse industry and customer trends and developments, including emerging issues and technology

Introduction

Understanding trends of the industry is vital in ensuring that what you are seeking to provide to the market is not only fresh and relevant but is in demand.

Regardless of types of trends being researched, the basic options for gathering information have been identified below. The keys however to this step are to:

- Be proactive
- Keep an open mind
- Using a variety of sources
- Recording what you find.



Sources of trend information

There are a number of sources that will be a great starting point to get an overview of the industry as a whole and the trends that may impact a business and the selection of new products or services they are thinking of introducing.

- Colleagues, supervisors and managers
- Representatives.
- Developing your own industry network
- Conferences and seminars
- Product launches
- Trade magazines
- Industry publications
- Newsletters and brochures
- Advertisements
- Reference books
- Internet
- Government bodies.



Types of industry statistics and trends

Industry statistics are popular amongst both employees within the hospitality, tourism and event industry and also end consumers. Statistics prove a 'snapshot' of important information which can be examined and applied to improve business operations, attract new markets or build confidence in the eyes of a consumer.

Whilst there are endless statistics that can be researched, some of these include:

- Types of tourism and tourism businesses
- Types and demographics of customers
- Top destinations
- Hotel occupancy percentages
- Reasons for stays
- Current industry information
- Destination countries
- Departure months
- Length of stay
- Type of organisation for the trip
- Transport mode
- Accommodation type
- Expenditure
- Popular tourist attractions
- Tourism patterns
- Technology.



Customer demands

The key to knowing about changing trends, from a marketing perspective, is that this information needs to be related to customer-focussed concerns.

Your market research will have identified the areas and issues that are important to your various target markets, so profiling the business's customers requires that you relate these to the products and services you are offering.

The point being that you need to be able to identify, understand and explain how your products meet the specific classifications of customer demands that exist within your different market segments.



These customer demands may vary according to:

- Personal preference
- Health factors
- Age
- Cultural group
- Dietary issues
- Price
- Contemporary eating habits
- Media influence
- Cultural and ethnic influences
- Seasonal and popular influences
- Major events and festivals.



Activity 3 - Identify and respond to industry trends

You are to identify five trends that may impact on your business.

Based on these trends, identify how your business can benefit from opportunities that may arise.



1.4 Identify and analyse the legal and ethical constraints of the market and potential business impacts

2.4 Prepare marketing strategies that reflect legal and ethical constraints

Introduction

Like in any society, any tourism business must abide by certain laws and responsibilities aimed at protecting all stakeholders including the organisation, staff, customers and the general community.

This section will explore some legal, political and ethical issues and how they may impact on potential marketing and operational strategies.

Legislation considerations

It is important that we are aware of any major laws that may impact upon the running of our business including the production of our goods and services.

Legislation can be imposed at any level of government and can change our business operations overnight.

Laws are usually enacted to protect business from unfair practices.

The importance of complying with legal requirements cannot be strongly emphasised.

Failure to meet legally imposed obligations can result in fines (to you and the business) as well as a whole range of penalties including closure of the business.

Failure to observe applicable ethical standards can result in extremely negative customer reactions which will lead to bad word-of-mouth advertising and consequent loss of business.



Laws

Laws are a set of principles, rules and standards established by parliament and enforced by the courts for the regulation of behaviour in society and the protection of members of society and their property.

National legislation is administered by the Government including laws covering issues such as:

- Immigration – covering visas and entry into the country
- Taxation – covering personal tax and the Goods and Service Tax (GST).



Local legislation is administered by states or provinces covering many areas of the tourism industry including:

- Education
- Criminal laws
- Corporate laws
- Changes in society.

Society evolves and community standards change. The result is that there always are legal issues currently impacting on the tourism industry that perhaps weren't there a year ago, or even yesterday. It is useful to you to keep abreast of these issues when you see them raised in the media. These issues, which will naturally change over time.

Consumer protection issues

These traditionally address increasing the responsibility on business to protect the interests of the consumer from unconscionable activities and illegal action.

It is a standard requirement that all advertising be truthful, not misleading and fully discloses any negatives that can be expected to reasonably influence a buying decision that a consumer might make.

Duty of care

This common law requirement reinforces the responsibility that all employers and businesses have to provide a safe workplace and to take appropriate care and action to make sure that staff, customers and members of the public are not injured while at the place of business.

Where a business or staff member breaks the law they may be penalised, by fine or imprisonment, under the criminal arm of the law. In addition, the action or inaction that gave rise to the offence may also form the basis of a civil action, for example, negligence.

Equal employment opportunity

EEO legislation has now been around for decades and remains a significant consideration in many areas to ensure that people are not victimised or discriminated against because of their age, gender, race, disability or sexual preference in the areas of employment or the provision of products and services.

Workplace relations

Changes occur here where existing HR legislation, systems, structures, terms and conditions of employment and instruments of employment are subject to amendment or repeal through the efforts of the government, employer bodies or unions.



As legislation is altered, this has workplace-specific implications for nearly all workplaces. The changes to laws may also mean changes to the government bodies responsible for employment-related areas.

Privacy

Privacy is as on-going issue in the industry and legislation places an obligation on employees not to release confidential information about their customers, without their express consent, which can include information about their:

- Name
- Address
- Phone number
- Buying habits
- Marital status
- Methods of payment used to buy products and services
- Purchases – including frequency of purchases, type of and quantities of products and service bought.



Ethical considerations

Ethical issues impacting on the industry can include a range of areas.

Whilst ethical issues, may or may not be enforced by laws or regulations, there is a certain 'code' in which all businesses should operate under.

Confidentiality

Confidentiality is allied to privacy. Certainly we are under obligation to keep customer information confidential. However we are also under an obligation to keep information about the business confidential. If you become aware information about the business you are expected to keep this information to yourself and not disclose it to anyone including family, friends and even other staff members.

The matters about which you are expected to maintain confidentiality include:

- Details about security
- Details about trade
- Details about purchases made
- Occurrences within the premises.



Commission levels

Not all businesses will be involved with commission but where they are certain ethical issues apply. Issues include:

- All commissions should be paid promptly to businesses that direct business to your company and vice versa.
- Only approved commissions should be levied.
- Appropriate documentation should support both the receipt and payment of commissions.
- Negotiated commission levels should not be disclosed to third parties.

Pricing

This is a potentially complex issue and one that will vary between agencies and even within the same company agencies depending on location.

Pricing can also vary between times of the year or even time of the day. Properties, tour companies and airlines generally charge premium (high) rates during peak seasons such as holiday times and traditional periods when there is a high level of bookings.

Ethical matters that relate to pricing include:

- Charging customers for all products and services that they can be legitimately charged for. However making sure they are not charged for items that are provided free-of-charge such as inclusions involved in package deals
- Ensuring that prices quoted to customers are correct and not deliberately and misleadingly lower in order to encourage people to book with you, only to find, that process are actually higher than quote
- Keep promises that are made in relation to prices. This needs to be discussed with management but many businesses will honour a quote given to a customer even where the business will suffer a loss as a result of doing so.

Code of ethics

It is not enough to know what should be done in the workplace. You have to put that knowledge into practice. You must implement the information you discovered when obtaining information on ethical issues.

The day to day activities in the travel sector need to be conducted in a legal and ethical manner. AFTA have a code of ethics which its members are to adhere to. They are:

- Accuracy – AFTA members will be factual and accurate when providing information in any form about their services and the services of any firm they represent
- Affiliation – AFTA members will not falsely represent a person's affiliation within their firm
- Confidentiality – AFTA members will treat every client transaction confidential and not disclose any information without permission of the client, unless required by law
- Conflict of interest – AFTA members will not allow any preferred relationship with a supplier to interfere with the interests of their clients
- Consumer protection – AFTA members will use every effort to protect their clients against any fraud, misrepresentation or unethical practices which may arise in the travel industry
- Cooperation – AFTA members will cooperate with any inquiry conducted by AFTA to resolve any dispute involving consumers or another member
- Delivery – AFTA members operating tours will provide all components as stated in their brochure or written confirmation, or provide alternative services of equal or greater value or provide appropriate compensation
- Disclosure – AFTA members will provide complete details about terms and conditions of any travel service, including cancellation and service fee obligations, before accepting payment for the booking



- Notice – AFTA members operating tours will promptly advise the agent or client who reserved the space of any change in itinerary, services, features or price. If substantial changes are made that are written within the control of the operator, the client will be allowed to cancel without penalty
- Qualifications and professionalism – AFTA members must employ staff who have appropriate qualifications and are committed to continuing professional development, such as (but not limited to) the Australian Travel Professional Program (ATPP). AFTA members must ensure that all staff offer truly professional advice by being fully informed on the various facets of Australian and International travel
- Refunds – AFTA members will remit any undisputed funds under their control within the specified time limit. Reasons for delay in providing funds will be given to the claimant promptly
- Responsiveness – AFTA members will promptly respond to their clients' complaints
- Exploitation of children – AFTA members will not provide or assist in the provision of any travel service which, to their knowledge, is to be used for a purpose involving the sexual exploitation of children.

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Activity 4 - Identify legislation affecting your business

You are to identify five pieces of legislation that will impact on your organisation.

Based on these legislations, identify:

- *Type and purpose of legislation*
- *Key requirements of each piece of legislation*
- *Activities required to meet these regulations.*



1.5 Record and report information in accordance with enterprise requirements

Introduction

When we are exploring capacities and resources and their affect on a tourism organisation there are two aspects to consider and analyse:

- Capabilities and resources of the tourism industry
- Capabilities and resources of a tourism organisation.



Capabilities and resources of the tourism economy

An economy comprises the utilisation of resources including:

- Labour – amount of persons, with the necessary education, knowledge and skills, available to perform functions. The tourism industry is very labour intensive and requires people with a variety of skill sets to meet the needs of the local and international market
- Capital – financial means to pay for infrastructure to support tourism and to provide tourism related products and services
- Infrastructure – roads, bridges, airports, transportation systems, telecommunications, electricity, water systems and basic services
- Geography – land, features and its inhabitants
- Ecology – living organisms and how they interact
- Natural and land resources - especially important with eco-tourism
- Manufacturing – the level of production towards good and services
- Trade – the strategic location and partnerships between countries is a major component of economic prosperity and the impact of tourism growth
- Distribution – transfer of products and services or items used to provide these. In the case of tourism this also relates to the ease of travel for people to get to the products and services, which are traditionally based in a set location
- Consumption of goods and services – based on supply and demand. This will be explained further in this section.



An economy is based on the concept of supply and demand.

If demand for tourism remains strong, therefore there is a need to supply resources to cater for the demand.

Some of these resources would be provided or funded by governments including:

- Roads, airports and other transportation
- Electricity, water and gas supplies
- Basic services including hospitals, waste management, post offices and police.



There are many types of businesses, directly associated with tourism that would need to be developed or funded through private resources including:

- Transportation – airlines, boats, buses and cars
- Accommodation – hotels, resorts, hostels
- Food and Beverage – restaurants, stalls, bars, catering services and food production
- Attractions - leisure activities.



There are also many businesses, whilst not directly associated with tourism, would need to be developed including:

- Retail shops
- Pharmacies and doctors
- Supermarkets
- Suppliers for tourism operations.

The most important aspect of supply is people. Without a readily available workforce many tourism businesses would not be able to operate.

Therefore there is a need for:

- Suitable quantities of workers
- Education and training providers
- Accommodation, meals and appropriate working conditions for workers.

Whilst it is easy to find large amounts of people willing to work, it is important that they have the necessary knowledge and skills to be able to not only perform the basic functions required of the tourism organisation, but also can provide them to a standard expected by an international guest.



Activity 5 - Describe tourism capabilities and resources for your country

You are to evaluate the tourism specific capabilities and resources for your country, including:

- Identification of tourism related capabilities and resources
- Strengths of your country's tourism related capabilities and resources
- Weaknesses or missing tourism related capabilities and resources which can restrict or negatively impact on tourism organisations
- Provide suggestions of how your country's tourism related capabilities and resources can be improved.



Capabilities and resources of a tourism organisation

There is a need to make sure the organisation has the resources it needs to achieve its identified business objectives, while at the same time, ensuring that money is not wasted on resources that are not necessary or inappropriate to the task.

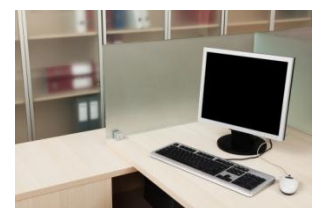
Resources can encompass:

- Physical resources
- Human resources
- Financial resources
- Intellectual property.



While the exact nature, type and quantity of resources required by an organisation will vary depending on the products and services being introduced, common resources requirements include

- Location/premises
- Occupational Safety and Health (OSH) resources
- Plant/machinery
- Raw materials – used to produce the products or service
- Refurbishment requirements
- Staff amenities
- Stock and supplies – used to support the operation of the new product or service
- Storage space – for stockpiling items produced and for business records
- Technical equipment and software
- Staffing and Training
- Training materials.





Activity 6 - Describe tourism capabilities and resources required for a tourism business

You are to identify the different types of capabilities and resources required to operate a successful tourism business.

Provide examples of each classification or capability or resource.

1.6 Record and report information in accordance with enterprise requirements

Introduction

Once you have completed a review of the business / market environment it is important that information is compiled into a concise report.

The most commonly used form of documenting market information is in the form of a 'Market Report'.

The Market Report

A Market Report should consist of:

- An Industry Profile
- Your Product or Service
- Competition
- Environmental Information and Trends.



Industry Profile

It is useful to write a short outline of the current status of the industry in which you will be involved. This will focus your planning on current and future demand), what types and styles of organisations are successful, what is about to be the “next big thing”.

Factors affecting demand are:

- The nature of buyers – what kinds of people are purchasing your goods or services?
- Market size – how many potential consumers are there in the area you intend to service?
- Demand patterns – is it increasing or decreasing for your product or service?

Specific statistics for your goods or services can be found from the government agencies, industry associations, media, business publications and internet research.



Your Product or Service

Think about the products or services that your business will provide. What are their unique features that will attract customers? Will you offer a wide range of complementary products, or do you intend to specialise in a particular range? Tour Operator A decide to focus entirely on ecotourism adventures for the under 40's, whilst Tour Operator B offers a full range of travel and tour options to all consumers. Both organisations have advantages and disadvantages.

Operator A

- Will be tapping into a specialised, niche market
- They have a unique product
- Can be at risk if demand falls or costs increase dramatically.

Operator B

- Product available for greater number of consumers, therefore greater turnover possible
- May require more business resources – premises, staffing, and finance – to cover the range.



If you intend to provide more than one product, you would need to draw up a sales mix table such as the one below.

Singapore Travel Agency - Sales mix projection (column and row headings only)

Sales Stream	Year 1	Year 2	Year 3
Airfare Bookings			
Packages			
Transportation			
Shop items			
Travel Insurance			
Total Sales			

Competition

It is important to identify the main competitors to your business. In your Business Plan, list all major competitors showing details re their

- Name
- Address
- Number of staff
- Strengths and weaknesses.

This knowledge will assist you in formulating competitive strategies to lure their customers to your business! What is your competitive advantage?

Environmental Information and Trends

An analysis of the general business environment gives you information about current conditions within your industry. It is equally important to identify favourable and unfavourable changes and trends. They indicate possible opportunities and threats to your business.

Considerations include:

- Is the economy currently in a boom or recession cycle and where is it heading in the immediate future?
- What is the general confidence level amongst business persons and families?
- Demographic factors in the area, and projected growth – include population characteristics such as age, gender, occupation, home ownership, education levels, attitudes
- Cultural trends and changes regarding life styles
- Technological changes impacting on business and family life.



In addition to researching statistical information from published quantitative sources e.g., statistical generation organisations, it is worthwhile gathering information from direct sources e.g., direct observation, personal surveys.

Direct observation includes a personal examination of the environment. Personal surveys are another valuable research tool. It is important to ask open-ended questions that allow people to give their own opinions. Framing your questions needs to be given careful thought. Make sure your questions aren't skewed specifically to confirm your own opinions. From their answers, you should gain an understanding about their needs as a consumer, their preferences and dislikes, what they would like to have available in their local area. Responses to carefully framed questions should assist you in making informed decisions for marketing your business and its products.



Activity 7 - Prepare Market Report

Based on the research conducted in Element 1 relating to the business environment, you are required to prepare a market Report.

It should relate to the tourism business you decided in Activity 2.



Work Projects

It is a requirement of this Unit you complete Work Projects as advised by your Trainer. You must submit documentation, suitable evidence or other relevant proof of completion of the project to your Trainer by the agreed date.

1.1 Please complete the following activities relating to this Performance Criteria:

- Activity 1

1.2. Please complete the following activities relating to this Performance Criteria:

- Activity 2

1.3. Please complete the following activities relating to this Performance Criteria:

- Activity 3

1.4. Please complete the following activities relating to this Performance Criteria:

- Activity 4

1.5 Please complete the following activities relating to this Performance Criteria:

- Activities 5and6

1.6 Please complete the following activities relating to this Performance Criteria:

- Activity 7
-

Summary

Collect and analyse information on the business environment

Identify and analyse information on expected market growth or decline with associated risk factors

- Importance of marketing in tourism industry
- Marketing vs. Sales
- Concept of marketing
- Key marketing components
- Tourism marketing
- Services marketing
- The marketing mix
- Marketing planning and management
- What is market analysis?
- Types of research
- Primary and secondary data
- Quantitative and qualitative data

Gather and analyse comparative market information

- Concept of analysing information
- Benefits of conducting research
- Understand current marketing situation

Identify and analyse industry and customer trends and developments, including emerging issues and technology

- Sources of trend information
- Types of industry statistics and trends
- Customer demands

Identify and analyse the legal and ethical constraints of the market and potential business impacts

Prepare marketing strategies that reflect legal and ethical constraints

- Legislation considerations
- Ethical considerations

Identify and analyse capabilities and resources

- Capabilities and resources of the tourism economy
- Capabilities and resources of a tourism organisation

Record and report information in accordance with enterprise requirements

- The Market Report

Element 2:

Prepare marketing strategies or plans

2.1 Identify and analyse opportunities based on internal and external market analysis

Introduction

When researching information to help facilitate the business planning process, it is essential to collecting and analysing information in a wide variety of 'environmental areas' that may impact on an organisation in the future.

Information must ensure it not only explores:

- External environment - what is provided or needed by competitors and the industry as a whole
- Internal environment - what the organisation provides.



Understand external environment

Development of a successful organisation is an on-going exercise, and involves monitoring of the internal and external environments, and the integration of findings into future business planning and the introduction of new concepts.

Market analysis provides us with the information necessary to understand what can cause changes in our operational environment.

A prime intent of this activity is to gain a more insightful and detailed view of the organisation and where it sits in the overall business and other settings.

Market analysis is a fairly generic term that describes an activity that we are constantly conducting in order to target the right person with the right product/service at the right time in context with the workings of the market, our environment and our competition.



Analysis of external environment

The external environment refers to the area outside the business over which the venue has little or no control. It normally has the greatest effect on the need for change.

It can relate to changes in technology, changes in legislation, state of the economy, political situations, and competition in the marketplace.

Service deficiencies caused by external factors may be harder to control, however steps should be made to understand them and make changes whether the organisation has some control.

Demographic

The demographic environment includes an analysis of broader population characteristics including age, occupation, sex and race. Changes to such characteristics are very important in determining what our marketing strategy will be as they detail information on changes in population residency, growth, family structure etc.

Key demographic trends include but are not limited to:

- Changing age structure of the population
- Changing family structure
- Geographic shifts in population
- An increase in education levels
- Greater ethnic diversity.



Economic

It is important to understand the economic environment in terms of changes in consumer spending patterns and purchasing power. These patterns will depend on the economic cycle, inflation, unemployment, economic growth, interest rates and available credit. Below are some of the key economic changes occurring:

- Changing distribution of income, shrinking middle class
- Development of the global economy
- Emergence of global competition
- Decline of manufacturing industries
- Growth of services industries
- Stagnation (the coexistence of unemployment and inflation)
- Growth of the post-industrial information age.



Environmental

Since the 1980s there has been increasing consumer concern for the environment, as we realise we are rapidly depleting many of the earth's non-renewable resources.

This is especially true in the hospitality and tourism industry, given that many businesses rely on natural attractions as a draw card for tourism.

The term sustainable tourism is very evident in tourism and hospitality circles and must certainly be considered in any marketing research.

Sustainable tourism' is based on the principles of sustainable development. It is based on 'minimising adverse impacts on local communities, heritage, landscapes, water resources, habitats and species while supporting social and economic development. Taking care of the environment means taking care of the visitor and local community.



Common issues for consideration involving sustainable tourism include:

- Sustainable development - manage economies and resources to ensure present needs should be met without impairing the capacity to meet future needs
- Protection of natural and man-made resources from inappropriate and insensitive development, poor planning and lack of zone management
- Maintaining the cultural, social aspects and historical character of the community
- Managing the implications of climate change
- Ensuring sustainable, co-ordinated management and development of resources
- Managing threats to biodiversity and natural resources
- Managing the increased generation of waste
- Dealing with growing energy consumption and rising greenhouse gas emissions
- Decreasing the environmental impact of tourism travel
- Minimising the environmental impact of tourism related development
- Improving energy efficiency, waste management and water conservation and
- Dealing with traffic congestion and damage to roads and other infrastructure
- Resources conservation
- Recycling.



Technological

Like in all industries, technology greatly impacts on all aspects of operations. In most cases, the improvements in technology have been immensely beneficial for the industry. It has made the world a smaller place and made it easier for businesses to get in touch with customers.

Technology has simplified and streamlined the way we operate.

In summary, technology is one of the greatest positive impacts on a business, regardless of industry.

Whilst many people are wary of technology, with some stating it is a threat in a 'service and people oriented' industry, technology is extremely beneficial to improve service, not replace it.

So what technological trends do we expect to see impact on the tourism industry in the future?

Role of technology

The main aim of technology in the tourism industry is the development of competitive advantages by both reducing cost and enhancing differentiation and unique selling points.

The main ways technology can enhance the tourism industry are:

- Streamline and speed up access and delivery of tourism services
- Improve management and profitability of tourism operations
- Enhance marketing of the industry as a whole and the businesses within it
- Improve the relationships between tourism businesses and its customers.

Emerging technological trends

Every day, in all corners of the globe, new technologies are being invented and introduced into the market, either aimed at tourism businesses or end users. These new technologies enable:

- Standardised set of XML messages for the distribution of tour and activity data
- Short-term, purely spontaneous travel specials
- Dedicated travel apps
- Sharing of traveller's personal information to simplify bookings
- Advanced travel search engines
- Travellers to find activities and local content in a mobile optimised environment
- Small business owners to access the business travel market
- Hotels and resorts to communicate with guest through on property mobile before, during, and after their visit to the property.
- Hotels manage their online reputation and social media
- Friends to collaborate and plan trips together
- Travellers research and decide where to go, where to stay and what to do.



This is just the tip of the iceberg of trends that will include the tourism industry in the immediate future.

As a member of industry, it is vital that regular research is conducted to ensure you are aware of trends and in some cases they may be incorporated into your business model for added success.

Socio-cultural

A review of the socio-cultural trends is a review of changes amongst the population and cultural shifts in our society. It is a study of the institutions and other forces that shape our values, perceptions, preferences and behaviours. It is important to understand these trends, especially when identifying emerging opportunities.

Some major socio-cultural trends include:

- The ageing population
- The increasing ethnicity of our society
- Working mothers and women
- Increased divorce rate and families spread over multiple households
- Global terrorism
- The division of society into the 'haves' and the 'have nots'
- 'The age of uncertainty' and the 'age of anxiety'
- The increasing value placed on travel, health, fitness and lifestyle issues
- The increasing value placed on quality of life issues
- An increase in materialism
- Increased demand for travel.



Increased demand for travel

Demand for travel within the Asian region is strong, with many people seeing Asia as a growing tourism market for a number of reasons:

- Strong economic growth markets – greater business and supplementary leisure travel
- Ease of travel – ease of visa restrictions, improved infrastructure and transportation options
- Large population base – Asia comprises one of the world's largest population bases
- Greater demand for 'localised' travel – many people generally prefer to travel in their region than take longer and often more expensive travel
- Cheap package and transportation options
- Cheaper products and services within Asian countries.





Activity 8 - Research the external environment

You are required to undertake research into external environment and compile your findings relating to the following areas:

- *Demographic*
- *Economic*
- *Environmental*
- *Technological*
- *Socio-cultural.*



Remember to focus on these categories as they relate to its impact on your tourism business.

Analysis of internal environmental

The internal forces are those which more directly affect the organisation and include:

- Customer analysis
- Competitor analysis
- Suppliers
- Intermediaries
- Publics.

It also focuses on capabilities and resources which have previously been covered and therefore will not be covered in this section again.

Customer analysis

This is one of the most important reviews for market oriented organisations. This will include:

- Who the buyers are
- Who is involved in the purchase decision process
- What they buy
- How complex the decision process is
- Where they buy
- What trends are emerging regarding their buying behaviour
- How customers rank competitors in this market
- Lifestyle, demographic and psychographic profiles of key customers.



Competitor analysis

It is critical to have a good understanding of who your competitors are, what the critical factors are for success in your industry and why your customers behave in the ways that they do, in order to ascertain a correct picture of where you are relative to your competition.

Competitive strategy is different for each competitor in each market depending on competitive conditions, size of the firm and market share position. A company must offer better value to its customer than its competitor. It must also position its offerings against competitors' offerings in the mind of the customer.

A competitive advantage is an advantageous situation enjoyed by a company with a marketing mix perceived by the market as superior to the competitors' mixes.

Each company should aim to obtain a competitive advantage by providing an element in its strategy which is distinctive, or differentiates themselves from their competitors. If you are a market follower, sometimes it is difficult to achieve this. The critical test of advantage is whether it allows you to service your customers better than your competitors can.



Competitive advantage

This can be obtained through outstanding service, superior products, services or physical facilities, innovative research, cost cutting etc.

Breakthrough opportunities

This enable innovators to develop marketing strategies that are difficult to imitate and will more likely be profitable for a long period of time. Identifying breakthrough opportunities early is important, as many imitators are waiting to try and derive profits from it as well if they can.



Activity 9 - Identify your competitive advantage

Aim to identify your tourism business's competitive advantage over its competitors (if any).

Identify breakthrough opportunities utilised by your company or its competitors.

How to do a competitor analysis

Firstly, it is a good idea to identify who your competitors are.

Secondly, you should collect as much information on them as possible. And thirdly, you should map out via way of a matrix your competitors' strengths and weaknesses and strategies.

Two major types of competitors include:

- Direct – organisations with similar products and services designed to satisfy the same customer needs
- Indirect – those organisations that aim to satisfy the same generic need but with different products or services.

Sources of information on competitors include:

- Secondary sources
- Competitors' promotional material and website/Facebook
- Physical inspection of competitive operations
- Physically observing business patterns and customers
- Sampling the competition's services
- Customer need/benefit/value analysis.

Matrices can be used to determine competitors' major strengths and weaknesses in relation to:

- Target markets
- Product
- Price
- Place
- Promotion
- Competitive barriers
- Likely responses.





Activity 10 - Identify direct and indirect competitors

Identify your direct and indirect competitors and then complete the following matrix:

Target Market			
Product/Services			
Place			
Physical Facilities			
Price			
Promotion			
Staff			
Potential Competitive Barriers			
Likely responses			

Suppliers

Suppliers can be of primary importance in terms of the accurate and efficient delivery of a quality product or service to your end customer. Suppliers can be any of the following, depending on where you are in the delivery chain:

- Suppliers
- Wholesalers
- Retailers
- Distribution agents.



Intermediaries

Intermediaries include:

- Resellers – companies that find customers for you or retailers
- Physical distribution – includes warehousing, transportation organisations
- Marketing services agencies – marketing research companies, advertising, media and marketing consulting firms
- Financial intermediaries – banks, credit organisations, insurance companies.

Your business can be affected by relationships with any of these companies positively or negatively. It is therefore wise to analyse which firms can critically influence your organisation and ensure that you develop positive and strong relationships with them



Public

A public is any group that has an actual or potential interest in or impact on an organisation's ability to achieve its objectives. An organisation can have seven types of public:

- Financial publics – such as a committee can affect its ability to obtain funds
- Media public – include newspapers, television, radio and websites/blogs/forums
- Government public – the organisation's lawyers need to be consulted on any changes to government legislation
- Citizens actions public – consumer groups, environmental groups, i.e. anti – gambling lobby
- Local public – neighbourhood residents and community action groups, i.e. local sporting clubs
- General public – the general public's attitude toward the company and its services
- Internal public – employees, managers, volunteers, committee members.





Activity 11 - Identify suppliers, intermediaries and publics

List suppliers, intermediaries and publics that most affect your organisation. Note beside each one the importance of the relationship and whether there are any opportunities or problems with this relationship

Supplier/Relationship	Intermediaries/Relationship	Publics/Relationship

SWOT Analysis

Most businesses undertake a SWOT analysis to gain an understanding of what is happening both external and internal to the business and the effect it will have on the business. This process ultimately tries to identify:

- Strengths – what the business does well
- Weaknesses – what the business can improve upon
- Opportunities – where the business can improve or take advantage
- Threats – where the business may become disadvantaged, weakened or susceptible.

Strengths and weaknesses in the internal structure, operations and ability or capacity may appear in terms of:

- Finance – available cash flow debt-equity rates, level of assets, profitability, capital available: this reflects the previous results the business has experienced and takes into account the effects of previous marketing programs
- Production – extent and quality of systems and technology to enable the business to operate. Is it up-to-date or in desperate need of an upgrade or a replacement?
- Resources – the level, variety and availability of products, raw materials, ingredients and other requirements to produce the goods and services offered for sale
- Offerings – taking into account the product mix of the business (the products and services available). Is this mix 'sufficient' or does it need growing/expansion into other areas, products or services?



- Marketing – can relate to customer database information available or existing within the business, details about price structure including discounts and commissions, distribution channels such as other agencies or establishments as a source of bookings, location of the business including Internet exposure, promotion undertaken, as well as the extent of service and product range
- Product life cycle – a product/service nearing the end of its product life cycle can be a negative indicating a need to replace it, refine it, re-brand it or add some new option to re-create it under a different name
- Business relationships – assessing the nature and effectiveness of the arrangements with suppliers, agents and head office; how have they changed over time? Are you dependent on just one supplier or carrier? Are you getting the right quality products and the service you want? Are you being supported by those who are supposed to serve and support you?
- Relationships with customers – analysing the extent and effectiveness of the CRM and the information it contains in terms of currency, quality, type, quantity
- Personnel – this looks at number of staff employed, their knowledge, skills and abilities, the level of morale, leadership and internal communication in the business.



Opportunities and threats that may externally face the organisation can include:

Political considerations

Analysis of political considerations/factors should include:

- The political stability of the country
- Is a change of government imminent and if so what implications can be expected?
- Feelings in relation to international trade/dealings
- Political relationships between home country and those countries with whom you do a lot of business
- The support available from government agencies and bodies for industry training or initiatives.

Economic considerations

The economic environment in which the business operates – addressing matters such as:

- The local economic environment as well as the economic state of other countries from which the business draws its customers
- Inflation
- Interest rates
- Exchange rates
- Levels of employment and unemployment
- Availability of local skilled competent staff
- Amount of discretionary income customers have
- Community thoughts on the state or future of the economy.



Social considerations

Analysis of social considerations should include:

- Statistics and trends in relation to demographic characteristics of markets – such as: Are customers getting older or younger?
- What is the ratio of males to females? Is this changing?
- What image does the industry have in the eyes of society? Is it a positive image? Is it tarnished for some reason and if so how or why?
- Projected responses of local and other communities if the business pursues various options - such as entering into a relationship with a certain organisation, entering into a new market, erecting a new building
- The status of the business in the eyes of the community as a 'corporate citizen'
- Mobility of people and their ability to travel to and from the venue.



Technological considerations

Analysis of technological considerations should include:

- Does the current technology being used by the business remain effective and efficient?
- Is there new technology in the marketplace which can be used to: Improve business performance, save time or money?
- Provide better facilities for customers and perhaps give the venue a USP or meet identified customer demand or to meet competition?
- Does legislation require use of nominated technology? When?
- What is the cost of new or required technology and what are supply options?
- Dangers or problems inherent in adopting new technology or integrating it into existing systems or processes.



Legal considerations

Analysis of legal considerations should include the laws and regulations the business must comply with as well as any new laws being proposed and how these may impact the business.

You may consider the following:

- Industry-specific laws
- Contract law
- Fair trading legislation
- Consumer protection
- Employment legislation
- Environmental protection laws
- Wage rates
- Trends in outcomes



- Penalties for non-compliance
- Application and registration requirements, complexity, costs and timelines.

Environmental considerations

Analysis of environmental considerations/factors should include:

- Sustainability issues
- Use of power and water
- Rubbish disposal
- Pollution – traffic, noise, air, water
- The impact of the venue on local communities.



Opportunities

Opportunities which should be highlighted in the analysis relate to:

- New markets, including niche markets, which may be pursued by the venue in terms
- New or up-dated or modified products or services which can be introduced to the service menu
- Occasions where new prices may be charged
- Problems being experienced by other providers which result in an opening for you
- Closure of an opposition business
- Fresh markets now available to you as a result of previous action you have taken – such as how you have trained your staff, new resources you have purchased, refurbishments you have undertaken, new database of information you have about potential customers.



Threats

Threats may include issues relating to:

- Introduction of new or more severe legislation
- Opening of a new competitor
- Worsening economic conditions
- Staff shortages
- Difficulty in obtaining physical resources
- An unsettled domestic situation which scares off tourists
- Negative comparative monetary exchange rates with countries who are major clients.





Activity 12 - Conduct a SWOT Analysis

STRENGTHS	WEAKNESSES
OPPORTUNITIES	THREATS



2.2 Develop marketing and sales strategies that are consistent with the direction, values and business plans of the enterprise

Introduction

Like in any organisation, objectives and strategies need to be identified before any activities can be implemented.

Now that research has taken place in relation to the general business environment and impacts by the external and internal environments, most organisations will now be able to see where their future efforts should be aimed.

By conducting a SWOT Analysis, a clear understanding of what needs to take place in the future.



SWOT Analysis and Key Issues

A marketing plan requires answers to many questions. Many of these answers will come from your SWOT analysis. Consider the following questions:

- Who will buy your products or services?
- Why will they buy your products or services?
- How can you attract potential customers?
- How is your product or service different from or superior to your competitors?
- Are there seasonal trends?
- Are your products or services price sensitive?
- What price will you sell your products or services for?



From the SWOT analysis of your customer base, you should now be able to identify the key issues for your business' marketing plan resulting from your in-depth understanding of your current and potential customers.

SMART objectives

An objective is a goal, something that is deemed worthwhile achieving for the future of your business. A marketing objective is the stated goal to be achieved via performance of marketing strategies and tactics.

A strategy is a method or plan chosen to bring about a desired future, such as achievement of a goal or solution to a problem. Objectives are what are to be achieved whilst strategies are the how something is to be achieved.

It is important to do this accurately. If we do not know what it is that we want to achieve or where we are going, how will we know how to get there? And how do we measure whether or not we have been successful?

The answer is, objectives need to be:

- Specific
- Measurable
- Achievable
- Realistic
- Time-actioned and trackable.



Specific

Marketing objectives should be specifically about products/services and markets. Vague objectives, however emotionally appealing, are counterproductive. They should be specifically about where we are now and where we want to be. This is referred to as gap analysis.

Measurable

Objectives need to be quantifiable and measurable. That is, they should have some specific value or percentage attached to them. This can be in the form of a decrease, increase or maintain (i.e. sales or market share) by a decided amount or percentage value.

Achievable

Objectives need to be realistic and achievable, not a 'pie in the sky' optimism.

Time-actioned and trackable

A specific time frame should be attached to each objective. This is usually within a year, but can be as broad ranging as five years. Trackability refers to the accountability that is involved when attaching a time frame.

Marketing Objectives

Marketing objectives form part of the underlying basis for the overall business objectives.

These may be based on:

- Client development
- Geographic expansion
- Organisational growth
- Service growth
- Debt reduction
- Income development.



Examples of objectives could be:

- To increase market share by 2% in a certain market within 2 years
- To increase overall customers by 20% within 1 year
- To maintain profit margin of 10% on special discount packages in the current financial year
- To expand local area awareness of our organisation to 90% within 1 year.



Marketing objectives should be expressed in measurable terms (sales units, or \$ values), and have built into them an allowance for inflation. When setting objectives remember to make them reasonable, attainable, and ensure that they will provide profitability for your business.

You need to strive for growth in the marketplace, whilst ensuring that you are recovering your costs. It is pointless to capture the majority of sales in your area by selling your product and services below cost price. Some businesses do this to attract customers for a short period of time but it is not a sustainable business practice.

Also remember that you need to be mindful of the operating capacity of your business. If you are unable to meet the demand that you have created there will need to be an urgent increase your operating capacity.

This may require more capital and other resources than you are able to access, and you may not be able to step up volume speedily enough. Your business does not need to have unhappy or disappointed customers – a poor reputation is easy to earn, difficult to overcome.

Sales objectives

It is important to establish sales objectives from the start. These are essential as they will guide sales planning and any associated activities.

Sales objectives may be related to:

- Market share
- Turnover
- Profit
- Units sold
- Percentage growth
- Ratio of enquiries converted to sales
- Number of sales-related enquiries received
- Specific products or services
- Nominated periods of the year including seasonal, events, holidays, peak seasons and low seasons.



Focus of marketing and sales strategies

Before specific marketing strategies can be identified it is important to identify the focus of the strategies. Given that tourism businesses are different in many aspects including size, maturity of business, types of products and services provided, organisational structure and aspects of organisational strengths and weaknesses, it is important to identify where the focus of marketing and sales initiatives will be focused.

It may not be essential to have concentrate marketing and sales efforts and resources on aspects of the business that are running well (e.g. business clientele), but instead focus on areas where improvements can be made (e.g. leisure market).

Marketing and sales strategies may be for:

- A new or existing, specific product or service
- A small or medium sized business enterprise
- A destination
- A single event.



Types of marketing and sales strategies

Now that the focus of strategies has been clarified, it is now time to establish strategies. Marketing and sales strategies state how marketing objectives will be achieved.

It is important to note that different divisions within the same organisation may have different strategies.

Strategies may include:

- Status quo
- Intense growth
- Integrated growth
- Diversification
- Market penetration
- Product or market development and may address:
 - Product
 - Price
 - Promotion
 - Distribution
 - Demand
 - Target market.



Product strategies

Product and service strategy is a broad area. This resource will attempt to make a few general points about the elements of product service strategy and then discuss some useful theory such as the product lifecycle and its applications. This resource also outlines how services are different, and the different options you have when planning a predominantly service based strategy.

What is a product?

- The need-satisfying offering of a firm
- Customers buy benefits, not features
- Customers do not buy products for their own sake but rather to solve problems or enhance their lives
- The product should only be developed after a need has been identified and a target market chosen to serve
- Product decisions include quality, warranty, features, brand name, packaging and labelling, product line decisions and product positioning
- In product development, opportunities are sought from your external environmental analysis and end user research
- The benefits of your product help define the industry you are in, your customers and competitors
- These benefits also help to identify sustainable competitive advantage flowing from product differentiation.

Product line decisions

- Individual product or product line compatibility
- Product line – set of products that are closely related
- Product line depth and breadth
- Convenience, impulse, emergency, staples
- Shopping
- Unsought, new unsought, regularly unsought
- Specialty.



Packaging

- Opportunity to promote the product
- Opportunity to protect the product
- Improve the basic product.

Warranties

- Warranty – what the seller promises about the product and expressed warranty
- Covered by both common and statutory laws
- Goods must be of merchantable quality and fit for the purpose.

Branding strategies

Branding

- Provides identification and differentiation
- Makes shopping easier for the consumer
- Acts as a cue and a source of information to the customer
- Develops a relationship with the customer
- Adds value to the product in the customer's mind
- Gain good shelf space – widespread distribution
- Consistent quality is guaranteed
- Price can be high enough to support branding.

Brand rejection

- Brand non-recognition
- Brand recognition
- Brand preference
- Brand insistence
- Individual vs. family vs. generic brands.



Services strategies

A service is any activity or benefit that one party can offer to the other which is essentially intangible and does not result in the ownership of anything. Its production may or may not be tied to the product.

- Goods = object, device, thing
- Services = deed, performance or effort

However, services can be distinguished from products upon the following criteria:

- Intangibility
- Inseparability
- Perishability
- Variability.



Service strategy

Service characteristics and marketing implications

Service characteristic	Marketing characteristic	Examples
Intangibility	Must reduce customers' perceived risk. Provide physical evidence.	Build relationships, clean environment, and friendly service.
Inseparability	Service provided in customers' presence. Opportunity for direct feedback.	Importance of staff training, selection and recruitment procedures
Perishability	Aim to balance supply and demand as services cannot be stored.	Just-in-time inventory control, Quality Management principles.
Variability	Service is performed for each customer. Must reduce perceived risk and encourage repeat business.	Importance of staff training and quality assurance.

New products and services strategies

Each individual product or service may require a different target market and a different strategy. Even those companies which manage one product only have to alter it because of technological improvement, changing tastes and preferences in the market place.

Developing new products and managing existing ones to meet market conditions (and eventually to plan for their successors) is an important part of marketing strategy. The next section discusses the concept and application of the product lifecycle to product and service strategy.

Product lifecycles

The product lifecycle is divided into four stages:

- Market introduction
- Market growth
- Market maturity
- Sales decline.

The strategies companies will use over each stage will be different, as will consumer attitudes and needs for the product over the lifecycle



New product development

New product development is risky, both financially and in terms of human resources. Design, research and development costs, as well as promotional and staff training costs, can be expensive if the new product fails.

A new product may fail for many reasons. Not offering a unique benefit or underestimating the competition are common mistakes. Sometimes the idea is good but there are design problems or the product costs too much to produce. Not moving fast enough means competitors copy your product and beat you to the market place.

Alternatively, rushing a product to market at the expense of developing a complete marketing plan can mean the product is doomed to failure.

The risks in new product development include:

- Developing a new product first and hoping it will sell
- Financial risks – market research, staff consultation, market trial/testing
- Duplication from competitors – even if a patent or copyright is protecting your product, competitors only
- need to vary the prototype slightly to have an acceptable imitation that does not infringe copyright
- The time taken to develop new products, particularly in fast moving industries.

To be able to move quickly and in order to avoid expensive new product failure it is wise to follow an organised new product development process. These steps include:

- Idea generation
- Screening – G.E.'S strategic planning grid/bcg analysis
- Idea evaluation
- Development- technical and commercial
- Commercialisation.



Activity 13 - Identify marketing and sales objectives, focus and strategies

You are to identify a clear path forward for your tourism business through the development of:

- Marketing objectives
- Sales Objectives
- Focus of strategies
- Marketing strategies (based on marketing objectives)
- Sales strategies (based on sales objectives)



2.3 Develop strategies in consultation with key stakeholders that clearly identify business goals and outcomes

2.5 Provide timely opportunities for colleagues to contribute to the marketing plan and approach

Introduction

Many people have an interest in your business and its success. These include colleagues, employees, suppliers, your customers and the community in which you operate.

As a small business operator, you are part of a team and need the effort and co-operation of other people to achieve your objectives and strategies. Colleagues and employees are the people you most rely on, apart from family, to support your business and work for its success. Involving them at an early stage of marketing and sales plan development and giving them an opportunity to contribute to the planning process will help them “own” the plan and work towards its success.

Ensure strategies reflect business goals and outcomes

In the previous section a range of marketing and sales objectives and strategies have been identified. It is essential that stakeholders:

- Input and agree with the objectives developed
- Ensure they reflect and are in-line with overall business goals and outcomes.
- Business goals and outcomes may include:
 - Key performance indicators
 - Strategic objectives
 - Price
 - Market and sales indicators
 - Brand value
 - Quality standards and criteria
 - Performance benchmarks
 - Milestones.



Importance of involving stakeholders and colleagues

Working through the marketing and sales plans with those responsible for their implementation, can provide an early warning of complications and resistance, and may suggest a better approach than you could have achieved from acting on your own.

Helping colleagues and employees to understand the marketing and sales objectives and strategies enables them to work independently towards their achievement.

When people talk about planning they often use the term 'stakeholders'. This simply refers to the people, groups, organisations that may have an interest in the business or be directly affected by marketing and sales plans.

As you develop your marketing and sales plan you will think of its stakeholders. Every additional stakeholder is someone else who has an interest in your business and can, therefore, be another source of support or contribute information.

Types of stakeholders and colleagues

Stakeholders may include:

- Owners
- Board of directors
- Managers
- Supervisors
- Finance staff
- Marketing personnel
- Human resource staff
- Information Technology staff
- Production staff.



Colleagues may include:

- Full-time, part-time, casual or contract staff
- People with varying degrees of language and literacy
- People from a range of cultural, social and ethnic backgrounds
- People with a range of responsibilities and job descriptions.



Importance of involving stakeholders and colleagues

Communication throughout the planning, preparation and delivery of marketing and sales plan is vital to ensure that all stakeholders and colleagues:

- Are involved
- Had the chance to contribute
- Provide feedback on initial strategies and approaches
- Understand how marketing and sales plan plans and strategies will affect them
- How the marketing and sales plan will interrelate or impacts other stakeholders.



All successful planning activities are a result of effective teamwork.

This highlights the need to involve others so that marketing and sales planning approaches are thoughtfully explored.

Seeking advice from experts

In addition to the involvement of stakeholders and colleagues, at times the use of specialised experts may be required to help ensure the accurate decisions can be made and implementation of marketing and sales plans can take place as smoothly as possible.

Whilst each organisation will have different requirements, it is wise to speak with a wide selection of experts. Each of these will not only cover areas that you may not have in-depth knowledge of expertise, but can also provide a different approach and alternate point of view.



Types of assistance and advice

Assistance and advice from appropriate experts may be sought for:

- Collection and collation of facts and information
- Review or verification of facts
- Legal or financial advice
- Ensure compliance of regulations and laws
- Issuing of permits and licences
- Strategic planning
- Specialist skill sets.



Sources of assistance and advice

These can include, but are not limited to:

- Local government agencies
- Tourism associations
- Non-government organisations
- Professional research organisations
- Solicitors
- Financial adviser
- Your local council
- Tourism agencies (local, regional and state)
- Tourism operators
- Business partners.



Activity 14 - Identify stakeholders and experts

You are to identify which stakeholders and experts you would utilise in the development of marketing and sales plans for your tourism business.

STAKEHOLDERS

Type of stakeholder	Input required from stakeholder

EXPERTS

Type of expert	Types of expertise required

2.6 Submit marketing plan for approval in accordance with enterprise policy

Introduction

The marketing plan of your business or organisation is a flow-on from the strategic marketing plan or business plan.

The strategic plan is usually a longer term plan outlining the company's broad marketing objectives and strategy. The operating marketing plan which is between 1-3 years, outlines specific objectives, strategies, action and control plans that will achieve your company's strategic objectives.

Organisations write their plans in different ways. This makes sense considering that they have different operating environments and are in different industries



Summary of the Marketing Plan

Below is an outline of what a marketing plan for the hospitality industry should include.

Preliminaries should include:

- Title page
- Table of contents
- Executive summary
- Mission statement.

Current Situation Analysis should include:

- Background
- Current objectives
- Current target markets and segmentation.

Current strategies

- External environmental analysis
- Internal environmental analysis
- SWOT including opportunity and issue analysis
- Customer analysis
- Marketing information requirements
- Forecasting profit and loss statement
- Controls – indicate how the plan will be monitored.



Objectives, Strategies and Tactics should include:

- Product, service and brand strategies
- New products and services strategy
- Pricing strategies
- Placement, logistics and distribution of services strategies
- Promotional strategies – marketing communications strategy
- Media advertising and public relations strategy
- Sales promotions strategy
- Direct marketing tools and technology
- Personal selling and sales management strategy
- Positioning strategies
- People and processes – customer relationships and service delivery.



Action and control plans including:

- Action plan
- Budgeting
- Control and evaluation.

Attachments including:

- Bibliography
- Reference lists
- Appendices
- Tables, Graphs and Figures.



Sections of the marketing plan

In the following sections, detailed descriptions of each section of the marketing plan will be discussed.

If content is missing in the following descriptions, it has been covered in other areas of this manual and will not be duplicated in this section.

Preliminaries

An executive summary is a brief overview of the contents of your plan. It should include the aim and purpose of the plan as well as outlining major findings and recommendations. No detail and no new material should be included.

A table of contents such as the one in this resource is placed after the executive summary and includes a detailed guide of the contents of your plan.

A mission statement is a statement of vision or purpose. It describes the business the company is in and how it wishes to be perceived by its customers. This includes its position relative to competitors.



Current Situation Analysis

Your current marketing situation contains background data on your company's market, product, competition, current strategies and macro-environment.

Market segmentation targeting and positioning

Markets can be segmented or broken down according to their buyers' similar needs, characteristics or buyer behaviour. From there your organisation develops profiles or ways of describing market segments. One or more of these segments can be selected as a target market. Finally, a competitive positioning is set for the product and an appropriate marketing mix is decided, which details strategy.



Possible segmenting dimensions

Customers can be described by many different dimensions.

Below are some examples of dimensions that are useful when segmenting consumer markets.

Psychographic dimensions can be:

- Socioeconomic
- Status – where education, income and occupation levels are combined to indicate status
- Values, attitudes – 'visible achievement', 'something better', 'young optimists', 'socially aware', 'look at me'
- Lifestyle groupings – 'a fairer deal', 'basic needs', 'real conservatism', 'traditional family life' and 'conventional family life'
- Personality – extroverted, compulsive, authoritarian, ambitious.

Behavioural dimensions can be:

- Needs – economic, functional, physiological, psychological, social
- Benefits sought – quality, service, economy
- Thoughts – favourable or unfavourable attitudes, interests, opinions, beliefs
- Occasion – regular occasion, special occasion
- Loyalty status – none, medium, strong, absolute
- Rate of use – heavy, medium, light, non-user
- Purchase frequency – never, infrequent, frequent
- Brand familiarity – insistence, preference, recognition, rejection
- Kind of shopping – convenience, comparison, specialty, none
- Type of problem solving – routine response, limited, extensive
- Information required – low, medium, high.

Geographic dimensions can be:

- Region of world – country
- Region in country – state
- Size of city – including population

Demographic dimensions can be:

- Income – use ranges
- Sex – male, female
- Age – ranges
- Family size – 1-10 or more
- Family lifecycle – young, single, married, no children, divorced etc.
- Occupation – professional, technical, managerial, trades etc.
- Education – high school, tertiary or university graduate
- Nationality
- Social class – upper, middle, working.



The best dimensions to segment customers on are those which describe those groups the best.

Segmenting is an aggregating process, clustering people together with similar needs into a market segment. A market segment is a relatively homogenous group of customers who are likely to respond to a marketing mix in a similar way.

Target market definition

Our target market definition covers four questions.

- What product or service type?
- To meet what customer need?
- For whom – which customer types?
- For where – which geographic area?

Product type

This is a description of the goods and or services the customer wants. It is important to provide additional benefits or services as well as particular goods or services in order to satisfy your customer better than your competitors.

Customer (user) needs

This refers to the needs the product type will satisfy for the customer. Basic needs involve needs for warmth, food, safety etc. But it is possible to go well beyond these to emotional needs such as fun, excitement, pleasing physical appearance or status.

Customer type

This refers to the final user or consumer of a product.

Geographic area

This refers to where the company competes or wishes to compete for customers.

Defining or redefining geographic boundaries is serious in that it can suggest new opportunities.



Examples of target markets

An example of two target markets for the Singapore Travel Agency could be:

Group 1 – “The corporate traveller”

- Characteristics – aged 30-60, busy lifestyle, middle income- high income, budget restrictions
- Wants and Needs – convenience, essential services such as transport and accommodation
- Frequency/loyalty – 1 to 2 times a month.

Group 2 – “The high end leisure traveller”

- Characteristics – aged 40-75, married, disposable income, well educated, limited time restrictions middle management, well-presented
- Wants and Needs – convenience, seeking experiences
- Frequency/Loyalty – 1 to 2 times a year.





Activity 15 - Identify target market

Write a description of your desired target market for your tourism business.

Type of target market	Characteristics of the target market

Current strategies

In section 2.2 a number of overriding marketing strategies have been discussed. Therefore more specific strategies will be discussed in this section.

Pricing products and services strategy

Your pricing strategies will be affected by internal factors such as:

- The company's marketing objectives
- Marketing strategy
- Costs
- Organisational considerations.
- External factors affecting pricing decisions include:
 - The market and demand
 - Competitors prices and offers
 - Other external factors.



Pricing objectives

There are several types of pricing objectives:

Profit oriented:

- Target return
- Maximise profits
- Dollar or unit sales growth.

Sales oriented:

- Growth in market share.

Status quo oriented:

- Meeting competition
- Non-price competition.



Pricing strategies

Businesses must decide whether to set a higher or lower price, particularly when the product is new. Price setting will be reflective of the nature of demand, where the product is in the lifecycle and how fast it is moving through the cycle. Decisions need to be made on whether price should be set at, above or below market place levels.

A price skimming policy

This aims to sell at the top of the demand curve at a high price before aiming at more price sensitive customers.

A penetration pricing policy

This represents an attempt to sell the whole of the market at one low price.

Competitive pricing

Occurs for most organisations, regardless of what their introductory pricing policy may have been. Generally speaking if the organisation's product/services are well enough differentiated from their competition there will be less pressure to meet competitors' prices

Cost oriented price setting

Two different approaches to price setting are cost oriented and demand oriented. The areas to be discussed under cost orientation include:

- Mark-ups, gross margins and profitability
- Types of costs – fixed, variable, total
- Average cost pricing
- Break-even analysis.



Demand oriented price setting*Value-in-use pricing*

This is setting prices that will capture some of what consumers will save by substituting the company's product for the goods already being used.

Customer reference prices

This is where the prices customers expect to pay for the product based on what they have paid elsewhere.

Leader pricing or loss leader pricing

This involves setting some prices very low in order to attract customers into the store or premises. This is often in terms of a promotion or to move inventory.

Psychological pricing

This involves setting prices that have special appeal to target customers. Price reductions within a range do not necessarily affect the amount sold. However, at prices just below the bottom end of the range, customers may buy more if they view the reduction as significant enough to provide them with a saving.

Prestige pricing

This involves setting a high price in order to suggest high quality or high status. Some customers want to buy the best and will buy at high prices. If the price seems cheap they may be concerned about the likely quality and will not buy.

Demand backward pricing

This involves setting an acceptable final consumer price and working backward to what a producer can charge.



Activity 16 - Identify pricing objectives and strategies

Write a description of the pricing strategies you would implement in your tourism business.



Promotional strategies – marketing communications strategy

The promotional mix

“Promotion is persuasive communication, directed to its target audience. Specifically, promotion involves communicating information between seller and potential buyer in order to influence attitudes and behaviour.”

The promotional mix is now usually referred to as the marketing communications mix, which is more precise because the purpose of communication to customers is not always to promote or persuade. Often the purpose of the communication is to make people aware, to inform or to reinforce an already promoted aspect of the product.

The most appropriate strategies to achieve communications objectives in the context of the overall marketing mix are discussed below.



Marketing communications objectives

Choosing which methods to use depends on the marketing communications or promotional objectives of the company. The overall objective being to influence behaviour. Affecting behaviour is a challenge and as we have seen in our analysis of consumer behaviour there are many influencing variables which make consumer behaviour difficult to predict.

There are many sophisticated promotional or communications objectives. The following are the most basic:

- Informing
- Persuading
- Reminding.

Types of communications tools

Once you have decided on your target customer, their state of readiness and your objectives, you can plan which communication tools would best achieve your goals.

The main types of marketing communication are:

- Personal selling
- Direct marketing
- Sales promotions
- Advertising
- Publicity
- Public relations
- Sponsorship.



Personal selling

Personal selling involves direct spoken communication between sellers and potential customers. Face-to-face selling provides immediate feedback, enabling salespeople to adapt their approaches to customers.

Personal selling is the strongest persuasive method of communication, far more powerful than advertising, because the presence of another person is far harder to dismiss than a piece of impersonal advertising.

Fostering a relationship between salesperson and customer further enhances personal selling as a communications strategy tool.

In a service oriented industry, every member of staff is perceived as a reflection of that company and a reflection of the organisation's attitudes toward its customers. As we shall see in the marketing communications process, the individual's experience with the product or service and its people is the strongest potential influencer as to whether they will return to that establishment.



Even though special promotional offers may attract new customers or remind older customers that you are still around, customer retention will be determined by your staff and their effectiveness as personal sales people.

Once organisations in service industries understand the magnitude of this concept, many of them begin to rethink the amount that is spent on their outside communications and focus a greater proportion of expenditure on improving the personal sales ability of their staff.

Direct marketing

Direct marketing is any series of activities designed to get a direct sales result such as direct mail. The following are types of direct marketing.

Sales promotion

This involves offering incentives to buy or effect some other transaction and may be made in combination with the following; mass media advertising, direct print offers, telemarketing, direct response television or radio, automatic dispensing and online shopping.

Direct print and reproduction

This involves making a specific offer using printed or reproduced materials such as mailing a printed catalogue or CD-Rom version delivered to a list or database.

Direct response television and radio

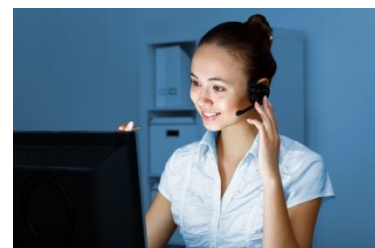
This is synchronous marketing using pay television, narrowcast television or radio, broadband interactive television or radio, if there is a back channel order for placement.

Telemarketing

This is inbound or outbound personal selling or automated voice response selling to a list or database. May be synchronous where a donation is made or a vote is cast, or where orders are taken immediately the offer is made.

Telesales

This is outbound calls, usually order taking with prompts, from a known and stable database of customers, usually to middlemen.



Electronic dispensing and kiosks

This is a range of technologies used in receiving orders and payments as well as delivering products and services including the use of 'smart' card technologies and digital cash to a known database of customers and potential customers.

Direct selling

This is personal selling into the home or office to potential customers or a known database.

Electronic shopping

This is recording responses including order taking from inbound electronic signals or messages in response to communications via a wide number of media including pay television, the Internet (eBay), quick response direct marketing where same day or next day fulfilment is involved.



Integrated database marketing

This is a type of relationship marketing; conversion of persons on a list to active members of a database or generation of repeat business from a known database

Synchronous marketing

Synchronous marketing is an interactive form of marketing, like direct marketing, where one or more online media are used to effect a measurable response and or transaction in real time and where both parties in the relationship learn from the exchange.

This has sometimes been called interactive marketing, direct marketing or direct order marketing. Synchronous marketing is on one hand a form of one-to-one direct marketing, while on the other hand it is seen as a step beyond direct marketing.

Sales promotions

Sales promotions are used to:

- Attract new triers, including non-users, loyal users, brand switchers
- Reward brand loyal consumers to retain them
- Reduce the time between purchases
- Turn light users into medium or heavy users.

Typically, sales promotions are run for a limited period of time. Sales promotions can be aimed at the final consumer, intermediaries or at the organisation's own employees. For the purposes of our discussion, the two relevant areas are consumer and staff sales promotions.

Types of consumer sales promotion include:

- Samples
- Contests and games of chance and skill
- Redeemable coupons
- Cash back offers
- Cents off deals
- Aisle displays
- Trade shows/exhibitions
- Point-of-purchase promotions



- Banners and streamers
- Trading stamps
- Sponsored events
- Discounted/two for one offers.

Sales promotions aimed at staff include:

- Contests
- Bonuses
- Meetings
- Portfolios
- Displays
- Sales aids
- Training materials.



Consumer Sales

Promotions are those incentives and special rewards aimed at making the purchase of a given product or service more appealing in the short term. The list mentioned above is not exhaustive as there are hundreds of different sales promotions and techniques that are used.

However, creative sales promotion is especially critical at the launch of a new product or service or when trial of a new product may determine its future.

Sales promotion, as with other methods of communication, should be planned and executed according to your objectives. They can be used to:

- Generate increased traffic
- Generate increased sales
- Create or maintain top-of-mind awareness
- Improve the organisation's image
- Generate community support.
- Sales promotion can be designed around:
 - Calendar events, holidays, anniversaries, birthdays
 - Seasonal changes, summer, winter etc
 - Breaking news, i.e. floods, fires etc
 - Topical and timely events, i.e. celebration of casino opening
 - Celebrity appearances
 - Fashions and fads.



Advertising

Advertising is the main form of mass communication. “Advertising is any paid form of non-personal presentation of ideas, goods or services by an identified sponsor. It includes the use of such media as newspapers, magazines, radio and television, billboards and direct mail.”

Communicating with large numbers of potential customers at the same time can be less expensive and more flexible than personal selling, particularly when the target market is large and scattered.

If the target market is smaller and more localised, paid advertising unless it is specifically placed to attract members of your target can be ineffective, expensive and wasted money.



Publicity

While advertising must be paid for, another form of mass communication, publicity, is free. “Publicity is any form of unpaid non-personal presentation of ideas, goods and services” Of course publicity people themselves are paid for but the favourable attention they draw to the company or an event without attracting media costs is not.

Generally, publicity has greater credibility than advertising because of the perceived neutrality and unbiased presentation of news reporting or editorial commentary. For example, a prospective buyer may easily skip over an advertisement but may carefully read a newspaper article with the same information.



Public relations

Public relations are the paid communications activities of a public relations person or company designed around improving the attitudes of various identified groups toward the company and its products and services.

News Releases

These are news stories about a special event, celebrity guest, new promotional program or other interesting item that is sent to the news media in the hopes that it will generate an article, interview or photograph either online or in traditional media channels.

Press Kits

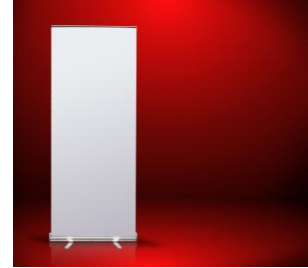
These are designed to give journalists background material about a company or product and service.

Sponsorship

Initially classified as one of the sales promotions tools, sponsorship is fast becoming a promotional method in its own right. It is crossing the boundaries between public relations and publicity and can take many forms in order to achieve different objectives.

It is defined as “An investment of cash or kind in a person, activity, event or sport in exchange for access to the commercial potential of that activity, event or sport.” Sponsorship comes in many forms including:

- Sports sponsorship
- Arts sponsorship
- Broadcast sponsorship – where the company supports a particular program in exchange for announcement on the program or the rights to be associated with its presentation
- Cause sponsorship – where a company contributes to a known cause.



Activity 17 - Identify promotional strategies

You are required to identify the promotional strategies you would use to promote your tourism business to their target markets.

Type of promotion	Examples / Activities

Placing products and services

Placement of products and services is called distribution or the logistics of placement.

Logistics is the process of planning, implementing and controlling the efficient cost effective flow and storage of materials, in process inventory, finished goods and related information from the point of origin to point of consumption for the purpose of conforming to customer requirements.

Distribution objectives and strategies

Distribution is how the product or service flows from the original production process to the end consumer. Distribution is about getting the right product to the right customer in the correct quantity at the right time.

Traditionally, it is considered that physical distribution relates only to the transportation of physical goods.

Services which are viewed as intangible are unable to be transported or stored. However, physical distribution is relevant for some services. Producers of services need to consider the logistics of providing customers with the physical items that facilitate the provision of their services

Action and control plans

Action Plans

These are step by step plans of how, who, why, when and at what cost strategies and tactics will be actioned in order to achieve the objectives of the plan.

Budgeting

Budgeting – determines how much will be required to achieve your marketing plans. After the action plan is developed, a budget can be developed accordingly. The budget shows expected revenue through sales forecasting in unit volume and average price. It also shows expected expenses such as sales, marketing and cost of goods sold. The difference between the revenue and expenses is the projected profit.



Procedure for allocating a budget

After setting your marketing plan, an annual budget is required to plan what is to be done and to control various functions. How much is required in total to achieve marketing plan objectives and how the budget is to be split between components of the action plan need to be determined.

It is important to note that:

- Budgets are usually set annually but may need to be changed if they are falling short of forecasts
- Marketing expenses are charged across all departments (often on a revenue ratio basis) unless costs can be specifically allocated
- Marketing expenses are always in advance and in anticipation of sales
- At least 10%-15% of a budget should be held in reserve as a contingency fund to cover unexpected competitive moves and unanticipated increases in marketing costs.

Methods of budgeting

The most common include:

- Affordable budgeting – what the organisation feels it can afford
- Historical or arbitrary budgeting – using past expenditure as the basis for future expenditure
- Rule-of-thumb budgeting – allocating a percentage of forecast revenue or sales based on industry norms
- Competitor parity – matching competitive expenditure
- Zero-based – justifying each expense before it is included in the budget
- Anticipated budgeting – companies set aside all uncommitted revenue, including budgeted profits in anticipation of future sales and invest in marketing
- Objective and task method – basing the budget on the task to be done
- The task method is generally accepted as the most useful method of budgeting. Although it must be stressed, particularly as an organisation develops and grows, it is necessary to calculate more in-depth financial analyses and ratios including break-even method and various statistical forecasting techniques.



Activity 18 - Prepare marketing budget.

- You are required to:
- Identify the budgeting method you would use.
- Prepare a summary budget for your proposed marketing initiatives.



Control and evaluation

This occurs after the development of the plan. It is a process of continual monitoring and modifying to adjust for any contingencies and to ensure strategies are being actioned as planned.

Attachments

Bibliography

This is a list of primary or secondary data sources, including books, journals, periodicals, primary research or interviews used in the collation of your plan. Your bibliography can contain information you have used as a source, even if it is not directly referred to.

Reference lists

These are sources that have been directly referred to in your plan. These can include direct quotes or even ideas. A reference should be listed at the end of the document, prior to your bibliography. The Harvard method of referencing should be used both in text and at the end of your plan.

Appendices

These are any attachments that are not critical to the direct reading or understanding of the plan. For example, your marketing audit could be included in the Appendices and referred to throughout the body of your report.

Tables, Graphs and Figures

These should be titled Figure 1, 2, etc., have a short description attached and be listed in the table of contents with a page number, separate to information on the main body.



Activity 19 - Collate a Marketing Plan

- Based on the activities covered to date, you are required to collate information into Marketing Plan, based on the topics identified in Section 2.6 of this manual.



Work Projects

It is a requirement of this Unit you complete Work Projects as advised by your Trainer. You must submit documentation, suitable evidence or other relevant proof of completion of the project to your Trainer by the agreed date.

2.1 Please complete the following activities relating to this Performance Criteria:

- Activities 8,9,10,11,12

2.2. Please complete the following activities relating to this Performance Criteria:

- Activity 13

2.3. Please complete the following activities relating to this Performance Criteria:

- Activity 14

2.4. Please complete the following activities relating to this Performance Criteria:

- Activity 4

2.5 Please complete the following activities relating to this Performance Criteria:

- Activity 14

2.6 Please complete the following activities relating to this Performance Criteria:

- Activities 15,16,17,18,19
-

Summary

Prepare marketing strategies or plans

Identify and analyse opportunities based on internal and external market analysis

- Understand external environment
- Analysis of external environment
- Analysis of internal environmental
- SWOT Analysis

Develop marketing and sales strategies that are consistent with the direction, values and business plans of the enterprise

- SWOT Analysis and Key Issues
- SMART objectives
- Marketing objectives
- Sales objectives
- Focus of marketing and sales strategies
- Types of marketing and sales strategies
- Product strategies
- Branding strategies
- Services strategies
- New products and services strategies

Develop strategies in consultation with key stakeholders that clearly identify business goals and outcomes

Provide timely opportunities for colleagues to contribute to the marketing plan and approach

- Ensure strategies reflect business goals and outcomes
- Importance of involving stakeholders and colleagues
- Types of stakeholders and colleagues
- Importance of involving stakeholders and colleagues
- Seeking advice from experts
- Types of assistance and advice
- Sources of assistance and advice

Submit marketing plan for approval in accordance with enterprise policy

- Summary of the Marketing Plan
- Sections of the marketing plan
- Preliminaries
- Current Situation Analysis
- Current strategies
- Action and control plans
- Control and evaluation
- Attachments

Element 3: Implement and monitor marketing activities and sales strategies

3.1 Define and communicate clearly all priorities, responsibilities, timelines and budgets, involving all appropriate colleagues

Introduction

One of the key requirements for the successful implementation of any marketing and sales plan is to outline how the goals, objectives and strategies will be accomplished.

This includes notifying stakeholders of the roles and expectations required of them during the implementation process.

You now need to make decisions about how the objectives and content of plans will be disseminated amongst stakeholders.

Once marketing and sales plans, including objectives have been finalised, it is now time to present the final version to relevant stakeholders.

Depending on the type of the marketing and sales, the nature of stakeholders will vary.



Defining and assigning roles

It is important that everyone knows what is expected of them. In these times of uncertainty everyone must be aware of the roles each person plays.

Depending on the role of each staff member within the implementation process, they must be made aware of what is expected of them. This includes a detailed understanding of their roles and responsibilities including:

- Level of responsibility and authority
- Start dates of activities
- Expected completion date
- Preparatory activities including attending meetings, reading job descriptions etc
- Activities to be performed
- Resources required to implement the plan
- Work breakdown
- Involvement of other staff



- Training to be taken
- Support mechanisms
- Expected standard of performance
- Milestones for completion
- Budgets to work within
- Methods of communication
- Making observations
- Providing feedback.



By having clear roles and responsibilities, it helps to eliminate confusion of what each person is to do.

Identify Key Performance Indicators (KPI's)

Identifying a small number of key performance measures (KPI's) that can be regularly monitored is an important first step. They provide an early warning system showing progress or lack of it. Being able to graphically represent them is also helpful since the results can be displayed for colleagues and staff to see at a glance.

KPI's need to be directly linked to your marketing and sales objectives. You will have to determine the ones most suitable to your business.

Types of KPI's

Suitable KPI's may be:

- Total number of calls made
- Total number of new customers
- Number of leads
- Increase in sales
- New sales per product group
- Marketing expense per customer
- Marketing expense and sales revenue per customer from a specific campaign.



Stakeholder considerations

Regardless of the stakeholder, the presentation stage is critical as it is often the first time the stakeholder may be.

No doubt they will want to:

- Get a clear understanding of the marketing and sales plans
- Ensure that all key concerns have been considered
- Understand the benefits of the marketing and sales plans
- Understand how the marketing and sales plans will benefit them
- Understand how the marketing and sales plans will impact on them
- Understand their role in implementing the marketing and sales plans
- Any potential problems identified
- Have their concerns addressed
- Be excited and reassured about the marketing and sales plans.



Communicate marketing and sales plan information

As mentioned above, there are many stakeholders who will need to understand the details of the marketing and sales plans that is being introduced. This is essential to ensure that key aspects of plans are not only communicated with others but also understood by them.

These aspects can therefore include:

- Key vision of the plan
- Reasoning or purpose behind the marketing and sales plans
- Background information - including research methodology and facts gathered
- Marketing and sales objectives and strategies
- How the plan will be implemented
- Roles and responsibilities of key stakeholders
- Timelines
- Support mechanisms.



Communicating marketing and sales plans to stakeholders

The communication of new marketing and sales plans may occur in various ways.

The key to communicating these changes is the communication must be planned.

This is especially true when explaining marketing and sales plans to staff as they will be stakeholder who will be impacted the most.

Your approach should follow these guidelines:

- Hold a formal staff meeting to inform stakeholders of the marketing and sales plans – if they have been actively involved in the development process then the concept should not come as anything new to them
- Remember it is important not only to explain the purpose of the marketing and sales plans but also explain why it will be beneficial
- Give them a hard copy of the new marketing and sales plans, either in its entirety or the parts specific to the stakeholder– give them everything that is applicable to their area such as:
 - Copies of plans
 - Copies of standards
 - Copies of policies
 - Copies of procedures
- Explain the changes – tell them how the ‘new’ marketing and sales plans differs from existing or past versions. Be specific
- Tell them about the dates for introducing the new marketing and sales plans implementation
- Reassure them they are not required to implement the changes ‘tomorrow’
- Inform of the training being provided to support implementation of the new marketing and sales plans requirements – let them know when and where the training is happening, what it will involve, who will be leading it
- Encourage questions about the new marketing and sales plans – answer them fully and honestly
- Make yourself available outside this meeting to talk to if they have concerns regarding the marketing and sales plans.



Activity 20 - Communicating marketing and sales plans

Briefly describe how you will communicate the marketing and sales plans to stakeholders including:

- *What will be communicated*
- *How it will be communicated*
- *What stakeholders will be given.*

3.2 Implement and monitor actions detailed in the plan/s in a cost-efficient manner and according to schedule and contingencies

Introduction

Now that marketing and sales plans have been communicated with stakeholders responsible for its delivery, it is now time to implement any actions.

Planning for the implementation of marketing and sales actions is essential to ensure all aspects relating to the proposed actions have been considered, planned and have clear plans for implementation.

Whilst marketing and sales plans themselves are actual plans, additional planning needs to take place to ensure the implementation of activities are conducted in a thorough manner.

Marketing implementation is the process that turns marketing and sales strategies and plans into marketing and sales actions in order to accomplish objectives.

Implementation involves detailing day to day and month to month plans about who, when, where and how these plans will be actioned. This 'doing things right' implementation is considered to be as important as 'doing the right things' strategy.

This section will explore some of the activities associated with the implementation of actions.

Organisational implementation considerations

- Compliance requirements
- Occupational Safety and Health (OSH)
- Legal liability exposure
- Integration with other aspects of the business
- Timing issues
- Resources
- Changes to policies and procedures
- Documentation and record keeping
- Service delivery
- Impact on organisational culture.





Activity 21 - Identify organisational implementation considerations

Identify activities or key points associated with organisational implementation considerations.

Consideration	Activities of key points
Compliance requirements	
Occupational Safety and Health (OSH)	
Legal liability exposure	
Integration with other aspects of the business	
Timing issues	
Resources	
Changes to policies and procedures	
Documentation and record keeping	
Service delivery	

Implementing of activities

- Details of intended actions to be taken
- What tasks are associated with actions
- To what standard must it be done - Key Performance Indicators (KPIs)
- Timelines for actions
- What policies or procedures must be adhered to
- Allocation of responsibilities for action to nominated persons
- Determination of accountability for actions taken
- Timelines for completion of nominated actions
- Details of the budget and resources allocated
- Support mechanisms
- Evaluation mechanisms
- Details and timelines for reviewing progress.



Activity 22 - Identify scheduling of activities

You are required to develop a detailed plan of how you would implement marketing and sales plans based on the points described above.



Provide support and resources to support implementation actions

As mentioned, any time the implementation of new marketing and sales plans takes place, whilst in the long term it will benefit the organisation and staff involved, it may cause disruptions and make activities harder for staff in the short term.

It is especially important that during this stressful time, that management play an active role in leading and supporting the team as a whole and individuals who may need assistance.

There are many ways a manager can provide assistance and support, however at the end of the day, the aim is to enable marketing and sales staff to be able to learn and implement new marketing and sales plans.

During this period, you must manage the twin functions of 'group task' and 'group maintenance'.

Task functions

Task' functions of leadership involve leading the group successfully understanding and performing new activities associated with new marketing and sales plans. Factors included here are:

- Setting plans to help staff achieve the set change goals
- Passing on facts and skills
- Offering ideas and information
- Seeking opinions
- Giving directions
- Getting the individuals within a group to function as a cohesive unit
- Coordinating activities
- Clarifying goals as they progress through the initiation process.



Maintenance functions

'Maintenance' functions centre on ensuring that staff continue to work harmoniously and that there are good working relationships among the team. This includes your being involved in:

- Provision of positive feedback to staff – to help keep them interested, engaged and motivated
- Giving encouragement – either verbally or non-verbally
- Raising enthusiasm amongst the team – to make them aware that they can achieve what is required, and to provide motivation during the tough times when they might be tired, frustrated or disinterested
- Maintaining a safe, secure and supportive physical and emotional environment – physical safety is, of course, important, but so, too, is the need to provide emotional support when staff find the going tough or when they feel dispirited
- Acknowledging contributions and efforts made by staff – the important thing is to provide acknowledgement for effort and not just for success



- Using humour as a motivator and means of reducing tension – this can assist in maintaining momentum and getting staff to have another go at something they may have previously not succeeded in
- Sensitive and non-judgemental communication – it is very important that whatever is said to staff cannot be misconstrued in any way. Your role is to support, encourage, nurture – not to criticise or put people down
- Frequent, accurate and encouraging feedback – which means finding something to provide a positive comment about even when staff are unable to achieve the set objective
- Allowing staff to make mistakes and create an environment where it's okay to do so.



Poor implementation

Besides the best of planning, problems will occur.

Several factors cause implementation problems:

- Isolated planning
- Conflict between long-term and short-term objectives
- Natural resistance to change
- Lack of specific implementation plans.



Isolated planning

Central planning which is done by senior management, strategic planners or professional planners may mean that planning is consistent across all areas. The plans may be too general or too far removed from the needs of frontline managers. These days, strategists work with marketing managers to develop their own strategies.

Conflict between long-term and short-term objectives

Short-term objectives to meet profit and sales goals may be made at the expense of long-term strategies.

Managers are usually rewarded for achieving their performance targets but this can happen at the expense of the company's long-term objectives such as providing a quality service and building a reputation.

Natural resistance to change

When new ways of implementation occur all the company's employees may be forced to work in ways that feel strange, new and uncomfortable to them.

Lack of specific implementation plans

All details of the implementation must be recorded. The table outlined is merely an example of a summary implementation plan. In reality, very specific dates should be assigned and all details of how the strategy should be carried out should have a person responsible for them. People at all levels of your organisation must cooperate and work together to ensure that the plans are carried out in a coordinated fashion.

Firstly, an action plan should be created. This would be similar to our implementation table but would include further details of the plans and more specific people to achieve all of those actions.

Secondly, the company's organisational structure will play a part in effective implementation. Firms which have simple, flexible structures allow them to adapt to changing conditions the best. However certain types of structures may be appropriate for some types of implementation while other types of structures may be required for different types of plans.

Thirdly, the company's decision and reward systems also affect implementation. For example, human resource planning is critical. It is important not to reward people only for short run performance. It is the longer-term performance that will help the organisation achieve its goals.

Fourthly, the company's strategy must fit with its company's culture. This system of shared values and beliefs is very difficult to change and organisations usually build strategies that are consistent with the company's feelings and beliefs about its products and services.

Controlling and evaluating implementation actions

Marketing control is the process of measuring and evaluating the results of marketing strategies and plans and taking corrective action to ensure that marketing objectives are attained.

Marketing performance is measured in the market place. It evaluates the cause of any gap in actual versus expected performance. If there is a gap, management may be required to change the action program or even the goals.

Operating control involves checking ongoing performance against the annual plan and taking action where necessary in terms of sales, profits etc. Strategic control looks at whether the company's basic strategies are matched to its opportunities. Using a marketing audit which addresses the issues in your environmental analysis and planning phase will help you to make a systematic, unbiased appraisal of whether your strategies are still relevant and up to date.



Marketing audit control questions

The macro-environment

- What major demographic trends pose threats and offer opportunities to this company?
- What economic developments in income, prices, savings and credit will affect the organisation?
- What is the outlook for costs and availability of natural energy? Is the company environmentally responsible?
- What are the key technology changes occurring?
- What current and proposed laws will affect company strategy?
- What is the public's attitude toward business and the company's products? What changes in consumer lifestyles might have an impact?



The task environment

- What is happening to market size, growth, share, geographic distribution, profits?
- What are the major market segments?
- How do customers rate the company on product quality, service and price? How do they make their buying decisions?
- Who are the major competitors? What are their major strategies, market shares and strengths and weaknesses?
- What main channels does the company use to distribute products and services to customers?
- What trends are affecting suppliers?
- What key publics provide problems or opportunities?



Marketing strategy audit

- Is the business mission clearly defined and market oriented?
- Has the company set clear marketing objectives? Do these fit with its resources and opportunities?
- Does the company have a sound marketing strategy for achieving its objectives?
- Has the company budgeted sufficient resources to segments, products and marketing?

Marketing organisation audit

- Does the marketing person have enough authority over activities affecting customer satisfaction?
- Are the staff well trained, supervised, motivated and evaluated?
- Does marketing work well with all other staff in non-marketing areas?

Marketing systems audit

- Is the market intelligence system providing accurate and timely information about market place developments? Is market research being used effectively?
- Are annual, long term and strategic plans being used?
- Are annual plans being achieved? Are evaluation and control being used?
- Is the company well organised for new product and service development?



Marketing productivity audit

- How profitable are the company's different products, services and markets?
- Do any marketing activities have excessive costs? How can costs be reduced?

Marketing function audit

- Has the company developed good product/service objectives? Would products benefit from style, quality or feature changes?
- Are the organisation's prices in line with customers' perceived value? Are price promotions used properly?
- Are distribution objectives and strategies optimal?
- What are the company's promotion objectives? How is the budget determined? Are advertising messages and media well developed and received? Does the company have well developed sales promotion and relations activities?
- What are the company's sales force objectives? Is the sales force large enough and properly organised?
- How does the sales team compare with competitors' sales teams?



3.3 Produce reports in accordance with enterprise policy

3.4 Share information on marketing activities and sales strategies with staff to maintain awareness of current enterprise focus

Introduction

As the implementation of marketing and sales initiatives take place, it is important to communicate with staff for a number of reasons including:

- Preparing suitable reports
- Sharing information with them relating to:
- Marketing activities
- Sales strategies
- Asking for their input to better improve future implementation.



In Sections 1.6 and 5.3 of this manual, the importance and methods of preparing reports are discussed in detail.

Types of reports

Reports may relate to:

- Product or service
- Merchandising and sales strategy
- Promotional strategies and their duration, cycle, territory coverage and product or service focus
- Market research
- Sales performance
- Business performance.



Information to share

Marketing activities

This may include:

- Mass marketing
- Differentiated target marketing
- Product variety marketing
- E-business.

Sales strategies

This may include:

- Promotional activities
- Sales techniques
- Territory management
- Rapport building
- Product knowledge
- Administration procedures and requirements
- Time management
- Negotiation skills.



Asking staff for their input

Encouraging teams and individuals to provide ongoing input into marketing and sales plan initiatives is another aspect of the manager's role in developing team commitment and cooperation.

Leaders should encourage team members to develop and contribute innovative ideas and inputs into how the marketing and sales plan can be improved.

This signals management's recognition of staff as valuable members of the organisation in the overall work process, rather than just as operational staff.

It also underlines the importance of communication in the workplace. There is little point in team members having great ideas or suggestions for improving marketing and sales plans if they are not shared or if they believe their input will not be appreciated or considered.



Methods to encourage staff input

Examples of ways in which leaders can provide ongoing input into the marketing and sales plans can be improved include:

- Asking for ideas – encouraging staff to make suggestions about better ways of doing things
- Having an ‘open door’ policy regarding suggestions
- Sharing ideas – encouraging others to alert team members to the potential of new practices
- Being prepared to test new ideas – this demonstrates management is prepared to try new ideas as opposed to insisting the old ones are adhered to
- Seeking information and ideas from non-traditional places – such as other departments or other venues
- Thanking people for their contributions
- Taking the time and effort to explain to someone who contributed an idea why their idea was not implemented – as opposed to appearing to simply ignore the suggestion
- Ensuring the person responsible for suggesting an effective new approach receives the credit.



Activity 23 - Prepare a communication plan

- *You are required to develop a communication plan identifying:*
- *When and how to communicate with staff*
- *An agenda of how a communications meeting you would conduct.*

Work Projects

It is a requirement of this Unit you complete Work Projects as advised by your Trainer. You must submit documentation, suitable evidence or other relevant proof of completion of the project to your Trainer by the agreed date.

3.1 Please complete the following activities relating to this Performance Criteria:

- Activity 20

3.2. Please complete the following activities relating to this Performance Criteria:

- Activities 21,22

3.3. Please complete the following activities relating to this Performance Criteria:

- Activities 7,23,31

3.4. Please complete the following activities relating to this Performance Criteria:

- Activity 23
-

Summary

Implement and monitor marketing activities and sales strategies

Define and communicate clearly all priorities, responsibilities, timelines and budgets, involving all appropriate colleagues

- Defining and assigning roles
- Identify Key Performance Indicators (KPI's)
- Stakeholder considerations
- Communicate marketing and sales plan information
- Communicating marketing and sales plans to stakeholders

Implement and monitor actions detailed in the plan/s in a cost-efficient manner and according to schedule and contingencies

- Organisational implementation considerations
- Implementing of activities
- Provide support and resources to support implementation actions
- Poor implementation
- Controlling and evaluating implementation actions
- Marketing audit control questions

Produce reports in accordance with enterprise policy

Share information on marketing activities and sales strategies with staff to maintain awareness of current enterprise focus

- Types of reports
- Information to share
- Asking staff for their input
- Methods to encourage staff input

Element 4: Implement sales policies and procedures

4.1 Implement and monitor adherence to enterprise policy and procedures and relevant legislation in regard to selling

Introduction

To date we have focused primarily on the role of marketing. Naturally sales activities are a direct result and follow on from marketing.

Therefore from Section 4 onward, we will be focusing on the role of sales and the activities associated with sales.

Planning of sales activities

Planning of sales effort is one of the most important tasks a sales manager or staff member needs to undertake, as how the sales team perform ultimately will depend on how the manager:

- Allocate accounts or geographical areas to members of the sales team
- Set sales targets
- Determine the key performance indicators to evaluate sales performance
- Establish sales policies
- Establish sales procedures
- Identify selling situations
- Identify legislative requirements.



The objective of planning sales effort is to allow the sales staff to carry out the sales process in an easy and profitable manner for the organisation; and it is the duty of the manager to create this plan and ensure that it is well documented.

Allocating accounts / geographical areas

Depending on your organisation, your customers could vary from small firms to multi-national companies. Your organisation may be selling more than one product or service, and sales effort may also include selling to global accounts.

Hence, there are numerous ways you can allocate or assign customers and accounts to members of your sales team. That said you must ensure that all customers and accounts are assigned to specific sales staff who are capable of handling them adequately.



Determining who sells to who may be done through assignment by:

- Geographical areas - such as by postal code (local accounts) or by region of the country (global accounts).
- Products or services - if your organisation sells more than one product or service, such as different sales staff selling Europe tours and China tours.
- Industry - selling to different types of customers such as to banks, insurance companies and schools.

Take note that when allocating accounts or geographical areas to sales staff, you need to take into consideration the relative ability of the sales staff in terms of product knowledge, market knowledge, past sales performance, communication and selling skills.



Activity 24 - Identify sales staff accounts and regions

For your tourism organisation, outline how you would allocate accounts or regions to your sales staff. Provide reasoning for the decision.

Setting sales targets

Another important task that must be carried out by the manager when planning sales effort is the setting of sales targets. Sales targets are important, as they can be used for:

- Measuring and controlling sales performance
- Motivating sales staff by linking the sales targets to compensation plans
- Identifying the strengths and weaknesses of the company.



There are many ways to set targets for sales staff in the travel and tourism industry. Besides sales volume, sales targets may also take the form of acquisition of new customers who have never experienced your organisation's brand, product or service, or even up-selling to existing customers.

Sales targets may be set on a short-term or long-term basis, depending on your organisation's policy and requirements.

- Short-term targets refer to targets that have to be achieved quarterly or yearly
- Long-term targets are those that are achieved over a span of a few years - such as three years.

Involve your sales team

Sales teams are the people who are the most familiar with your organisation's products and services, and how they perform in the market.

Hence, it makes practical sense to involve your sales staff when reviewing sales and setting sales targets. Moreover, studies have found that the more involved your sales team is in setting sales targets, the keener they are to achieve them.

Examples of sales targets

- Acquire X number of new customers / accounts who have never experienced your organisation's brand or products / services every quarter
- Up-sell to Y number of existing customers / accounts every quarter
- Achieve 95% occupancy rate for the next 12 months.

To set 'SMART' sales targets for your sales team, you will need to:

- Review past sales figures
- Forecast the sales for your organisation's products / services
- Discuss with your sales team.

Determine the key performance indicators to evaluate sales performance

Key performance indicators will include:

- Sales objectives (as mentioned previously)
- The impact that increased sales may have had on service levels and customer satisfaction levels
- Consideration of the intangible elements that are central to the operation and reputation of the business
- Relevant timelines and milestones
- Return in investment of monies spent on sales activities
- Relevant success rates for direct selling activities, media campaigns, public relations exercises, and other nominated promotional sales activities
- The contribution made by joint venture arrangements and agency affiliations, including consideration of the costs associated with such agreements.





Activity 25 - Identify targets and KPI's

For your tourism organisation, identify targets and KPI's which you would implement in which to evaluate sales performance against.

SALES TARGETS

1.
2.
3.
4.
5.

KEY PERFORMANCE INDICATORS (KPI's)

1.
2.
3.
4.
5.



Identify sales policies

Coordinating sales performance requires everyone to implement the sales policies of the organisation.

Inherent in these selling activities is the effective application of product knowledge to the selling of products and services, demonstration of items and knowledge about the organisation's sales policy.

Important to this orientation is a sales approach that is not a 'sell at any costs' situation.

Specific sales policies may address issues relating to selling, such as:

- Meeting and greeting the customer –setting out the style of verbal greeting and even recommended body language. It may set out the timeframe within staff must make contact with customers – this can cover the nature of questions and communications designed to create a positive environment, as well as identify customer wants, needs and preferences
- Selling techniques – covering aspects such as presenting items, use of product knowledge, demonstration of items and comparisons between suitable options on the basis of price, quality, availability, supplier and other product specific criteria
- Meeting buying objections – convincing customers to buy despite their stated and implied opposition and doubts so that the sale is moved to a successful win-win close.
- Identification of selling and promotional techniques, strategies, promotions and approaches that have been identified by the store as being forbidden under all, or nominated circumstances
- Identification of incentives that may be used by sales assistants to encourage and obtain sales, together with incentives that are considered inappropriate and unacceptable
- Definition of persons to whom the store will not promote or make sales
- Explanation of requirements the conduct of sales staff must be in accord with
- Classification of individual sales staff roles, responsibilities and limits and extents of authority – in relation to aspects such as calculating discounts, resolving customer problems, complaints and issues, approving advertising, advising customers and sales personnel in specialist areas.



Identify sales procedures

Sales procedures spell out the sequence of activities that your sales staff need to perform, and they are established to help sales staff perform effectively.

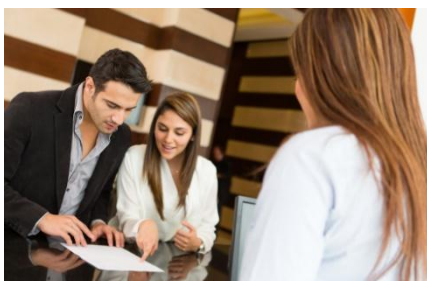
For example, your organisation may require the sales staff to meet with the customer face-to-face to explain the features and benefits of the products and services before closing the sale. It may also require sales staff to follow-up with customers to provide after-sale service.

However, some organisations feel that sales staff should be given more freedom to schedule his/ her own tasks and perform according to their own convenience. They believe that jobs with higher autonomy create a greater sense of responsibility and job satisfaction for employees. But studies have found that increased autonomy often leads to less control over sales staff's work and difficulties in monitoring their performance.

Sales procedures, if any, need to be established at the onset. Establishing sales procedures is an integral part of a manager's effort in planning sales.

Organisational sales procedures may include:

- Approved selling approaches and techniques
- Recommended techniques for approaching and closing a sale
- Allowable types and styles of advertising campaigns
- Specified target markets including niche markets
- Media to be used for advertising
- Promotional approaches that are allowed
- Public relations initiatives approved or authorised
- Scopes of authority for making sales-related decisions
- Price-related issues relating to allowable discounts, concessions, free-of-charge products and services, loyalty schemes, and all other factors that have the capacity to impact on selling price and profit.





Activity 26 - Identify sales policies and procedures

For your tourism organisation, identify policies and procedures which you would implement in which to direct sales activities.

SALES POLICIES

1.
2.
3.
4.
5.

SALES PROCEDURES

1.
2.
3.
4.
5.



Identify selling situations

In terms of travel related sales, selling situations may involve any or all of the following:

- Face-to-face, one-to-one sales situations
- Face-to-face, group sales situations – where ‘a group’ is more than one person and may include a family, a couple, two friends, or a club or other special interest group
- Telephone sales – which may embrace:
 - incoming sales-related calls
 - customers seeking advice and information
 - sales staff applying telemarketing techniques to canvass prospects
 - require you to follow up a query or call for help
- Sales advice and requests made via the fax machine
- Internet sales
- Social Media
- Referral business – where a person you know identifies a prospect who may be interested in your products and services.



Activity 27 - Identify common selling situations

For your tourism organisation, identify the most common selling situations and what training and resources activities staff need to fulfil their role in each of these situations.

Selling situation	Staff training required	Resources required

Identify legislative requirements

Prices

The law does not become involved in setting prices but it does require businesses to conform to certain ethical practices, including:

- Not advertising a product in a sale when, in fact, it is on sale at normal price
- Not advertising a discount where none exists
- Not advertising a product as 'the cheapest' when it is not
- Not making inaccurate pricing comparisons with other products
- Not restricting the supply of an item in order to drive up the price of that item
- Not colluding with others to fix prices
- Advertising a price that includes the tax component so that the consumer is given the total price to be paid
- Advising purchasers of additional prices relating to the product they are buying before they sign a contract for it
- Letting consumers know the full price of anything they sell.



Tobacco and liquor laws

Tobacco laws will vary between countries.

In general terms it is illegal to supply tobacco, cigarettes or tobacco products to people under a certain age.

Liquor legislation also varies between each country.

You should become familiar with the specific requirements that apply in your country and to the specific licences associated with the provision and sale of alcohol.

The following are indicative of requirements which may apply:

- Prohibition on sale and service of liquor to people under the age of 18 years
- Staff to be over 18 years of age
- No service to anyone who is intoxicated.

Industry Codes of Practice

Codes of Practice (COPs) are not legislation, but they are standards of performance and actions that your business should agreed to abide by.



Occupational Safety and Health (OSH)

Under most government legislation, there is a requirement that employers provide a safe workplace for staff, customers and suppliers.

Note the obligation of the organisation extends to members of the public as well as to staff and suppliers.

This requirement extends to ensuring that staff are provided with:

- Sufficient and appropriate training
- Supervision of their activities
- Information about aspects of work that may be hazardous
- Personal protective equipment and clothing
- Identification and control protocols for workplace
- Hazards
- Opportunity to make constructive input to matters
- that relate to workplace OSH
- Reports and feedback about OSH matters.



Employees have an obligation to conform to all safe workplace procedures and to use safe work practices to ensure they do not injure themselves, other staff or customers.

Organisations also have a responsibility to sell products and provide services that are safe.

Commercial confidentiality

Sales personnel will come into contact with pieces of information and knowledge that other people won't know about. This information is commonly regarded as being private in nature, or 'commercially confidential', also known as 'commercial-in-confidence'.

This means the information is not for general, public release and is intended only for those individuals who are part of the selling process. It must not be shared with others outside this limited area.

Specifically, you must make sure staff understand they must not share this information with:

- Customers
- The opposition
- Friends and family.



Matters likely to be sensitive are usually specifically highlighted as being commercially confidential include:

- Purchase prices – this includes mentioning them as well as showing buying price lists and catalogues
- Profit margins and profit levels – gross and net figures
- Commercial discounts
- Sales incentives – incentives for staff to promote certain products and to achieve set sales targets
- Account payment details – the ‘terms of trade’ the organisation has with its suppliers
- Stock levels – the ‘stock on hand’ figure as well as the amount of stock on order or sold
- Sales figures
- Matters to do with staff – reasons for staff absences, time taken on leave, whether they are at work or on leave
- Security – anything to do with premises and or product security
- Individual arrangements between the store and suppliers.



Activity 28 - Identify legislative requirements

For your tourism organisation, identify five legislative requirements that you or your staff must abide by.

1.
2.
3.
4.
5.

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4.2 Implement and monitor organisation policy and procedures in regard to sales transactions

Introduction

A sales job is a very demanding one. It involves not only just selling but being in touch with customers regularly, knowing the organisation's products and services well and searching for more sales opportunities.

Sales job is also often faced with rejections which can be very discouraging.

Hence, to be successful in a sales job, the sales staff must possess a multitude of knowledge, skills and attitudes, such as:

- Extensive knowledge of the organisation's products, services and the business environment it is operating in
- Sales techniques such as customer service, up-selling or add-on selling
- Effective communication skills
- Proper attitude such as being positive and self-motivated.



This section will focus on the skills associated with:

- General sales techniques required to undertake sales activities
- Techniques used when conducting sales transactions.

Importance of sales techniques

The success of businesses today can be directly related to the quality of its sales staff and their ability to meet consumer demand. Particularly for the hospitality industry where organisations such as airline companies, hotels, tour operators or restaurants rely on on-going buying from customers, sales techniques are even more critical. The need to compete for the same dollar also makes sales techniques increasingly more important and relevant than before. And with consumers being much more informed than ever, the ability to build relationship with customers is instrumental in persuading them to make purchases to generate repeat business.

There are a number of sales techniques that all professional sales people need to possess.

Importance of positive attitude and self-motivation when selling

Besides sales techniques, it is important that sales staff have the right attitude. Studies have also shown that 50% of sales people fail because of lack of positive attitude, which is a key sales tool that most sales people tend to undermine the importance.

A sales job is constantly challenged by rejections. Sales staff often lose their interest when they are rejected repeatedly. It is thus important that they do not take the rejections too personally and get de-motivated as a result. But this is easier said than done.

A high level of motivation would be necessary to help them overcome such discouragements if they do not have a positive



attitude or are not self-motivated.

Basic sales techniques

The best way to encourage customers to use and buy products and services is to promote them according to a few simple guidelines:

- Don't try encouraging customers to purchase something they don't want
- Encourage customer to purchase something they may want.

To adhere to the above guidelines, staff must be accurately informed about the product and service and have the ability to match those products and services according to the customer's needs.

Make sure staff realise commonsense should always be applied when matching products and services with customers, and any promotion should be done in accordance with establishment policies and procedures.



Effective questioning and listening skills are also vital in this part of the buying phase.

Additional tips include staff should be made aware of include:

Identify reason for purchase

They should try to identify as quickly as possible the predominant driver behind the need for the customer to make their purchase – “Why do they want to make this purchase?” This is a very important question that governs and controls many of the other buying-related decisions.

The answer to this question will provide a contextual frame of reference for further questions and deliberations determine the price they are willing to pay – is there another price they are expected to match, or is the customer simply wanting to get ‘it’ and get out, regardless of the cost?

Working out who will make the actual and final purchase decision

The person who makes the buying decision is not always the person who will pay for it

Staff need to know who to direct their sales efforts at.

A common mistake is for sales assistants to direct their flow of information, advice and product knowledge to the male in a ‘buying couple’ when it is the female who will make the buying decision.



Provide options and alternatives

It is important to be sensitive to other factors such as, are they in a hurry, are they determined to purchase a specific tour regardless of other options. That said, most customers appreciate having time spent with them and having their choices explained to them.

Put the purchase into context

In some cases, the purchase may not take place in isolation from other factors and staff are obliged to advise the customer about these allied features

Be sure to mention any benefits that apply 'now'

There will be times in retail sales when the customer really is on the receiving end of a good deal because of some promotion or sale or special that is on offer.

Staff owe it to both the organisation and the customer to identify and highlight these times and explain how the current deal represents such excellent value. The point being staff can't expect the customer to know they are getting a fantastic deal



Promote the value-adding aspects of the sale

It is dangerous and counter-productive to just focus the sales effort on the selling price. Most customers do not just buy on price alone, anyway. As sales professionals staff should identify and explain the totality of the purchase by highlighting all the factors that add value to the purchase.

Ask lots of 'open' questions

These questions get the customer talking and are the best way of obtaining information.

Staff should consider the need to change the nature and focus of their questions to 'refine their search' in their quest to identify exactly what the customer wants, and how best they can meet that expectation.

The further they get through the search for information, the more closed questions become useful, but they are, generally, less effective in the early stages of determining customer needs and wants.

Types of selling techniques

Use selling techniques may include:

- Offering bonuses and incentives, including the use of give-a-ways
- Creating packages to add value to the business
- Change terms and conditions, where practical, to better suit customer needs and preferences
- Recognising opportunities for making additional sales
- Advising customer of complementary products or services according to customer's identified needs
- Demonstrating the ability to make add on sales, to up-sell, to use suggestive selling techniques and to use other approaches to maximising sales
- Demonstrating the ability to be an order maker and not just an order taker
- Complying with enterprise policies in relation to selling.



Up-selling

This is also known as add-on selling.

Up-selling is just simply a way to get your customers to spend more money on your organisation's products or services. The objective is obvious – to generate additional revenue.

Studies have found that between 25 – 40% of customers will buy up-sells for quite a simple reason. They have already committed to buying your product or service, so they do not want to miss out on any opportunity to get something extra at a special price.

Up-selling is a valuable technique for increasing revenue and profitability. But it is not just a tool for this purpose. Up-selling is also a means of increasing customer satisfaction because you are suggesting additional products or services that meet the customer's needs.

However, up-selling is only effective when you have established relationship with your customers who know and trust your service level and quality. The biggest obstacle to upselling is when the sales staff neglect to ask whether customers are interested in upgrades or additional products or services.

Since sales techniques are so important for increasing an organisation's business, as a manager, you must therefore communicate this importance to all your sales staff and ensure they apply these techniques to help optimise sales for the organisation.



Overcoming buying objections

As mentioned above, sales persons will often be confronted with rejection or hesitation when customers are not committed to purchasing.

Overcoming buying objections including:

- Identifying and accepting customer objections
- Categorising objections into price, time, product, service characteristics
- Offering solutions according to enterprise policies
- Applying problem solving to overcome customer objections
- Using the 'feel-felt-found' approach.



Closing the sale

Closing the sale using accepted strategies which may include:

- Monitoring, identifying and responding appropriately to customer buying signals
- Encouraging customers to make purchase decisions through the use of appropriate and acceptable verbal and non-verbal prompts
- Congratulating the customer on their selection
- Thanking the customer for their business
- Encouraging the customer the return to make further purchases.



Handling sales transactions

Another vital point in implementing sales activities is in regard to sales transactions. The type of transactions and the nature of the policies and procedures will depend on the tourism organisation itself and the items being offered for sale.

Types of transactions

Point of sale (POS) transactions may include the following:

- EFTPOS
- Cheques
- Credit and debit cards
- In-store cards
- Smart cards
- Lay-by
- Returns/refunds
- Exchanges
- Gift vouchers
- Repairs required
- Internal accounts
- Cash.



It is essential you and all your staff know the types of credit cards that your organisation accepts. Not all establishments accept the same cards, and there may even be some very small stores that accept none at all.

It is useful to identify where a list of those cards that the store accepts is kept or displayed.

Identifying and applying procedures for cash and noncash transactions

You must make sure staff understand that the procedure for transactions is a matter of:

- Asking the customer politely how they would prefer to pay
- Accepting the payment option
- Responding to a verbal indication
- Naturally, all POS transactions including cash and non-cash transactions must be completed with all due attention to ensure:
 - Accuracy and honesty
 - High levels of customer service
 - Confidentiality
 - Legibility.



Monitoring staff activity

The best way of monitoring staff performance in this area is to watch them execute the range of possible payment options and transaction types that exist at your store.

Other methods include:

- Talking to other staff to gain their impressions about the competence of certain staff
- Talking to customers about their experience with certain staff
- Visually checking dockets and paperwork to see whether or not details have been completed as required, whether the writing is accurate and if the totals and product descriptions are accurate and correct.



Any irregularities, errors or incomplete documentation must be brought to the staff member's notice and an offer of training made to help them comply with the needs of the store.

4.3 Monitor team to ensure information is entered into point of sale equipment accurately

Introduction

Once policies and procedures have been identified for general sales activities and specifically for handling sales transactions, it is important to ensure that the correct handling of equipment and techniques used in selling situations, reflect those stated in policies and procedures.

Part of your role as manager is to check that the right prices are being charged and that staff are entering information into POS equipment accurately.

While this accuracy is obviously important, from the customers' perspective, from a legal viewpoint and from a business profitability point of view it must be delivered within the pre-determined parameters to allow required service standards to be delivered and internal administration and bookkeeping requirements to be achieved.

Not only is it important that the correct entries are placed into POS systems, that subsequent documentation such as vouchers, confirmation forms, tickets etc meet the requirements of the organisation, suppliers and customers.

Before we look at methods of monitoring a team it is important to identify who may be classified as a 'team'.



Definition of a team

A team may include:

- Small work teams
- Business team
- Full-time, part-time, casual or contract staff
- People with varying degrees of language and literacy
- People from a range of cultural, social and ethnic backgrounds
- People with a range of responsibilities and job descriptions.



Monitoring use of POS systems

The most effective ways for a supervisor to monitor the accuracy of information entered in POS system are:

- Personal observation of staff activities at POS when using the equipment
- Checking the figures from the department to identify if profits, sales, stock orders etc, are correct
- Verifying dockets, register audit rolls, receipts etc, to ensure data being entered is correct.

The need for POS accuracy

Customer service

There are various reasons information entered into POS systems must be accurate.

Service level provided to customers is most important.

Firstly it is unprofessional to have financial mistakes, especially in a travel and tourism setting where prices incurred are quite considerable.

Customers do not want to be kept waiting too long while staff fix incorrect entries, 'void' transactions or re-do any part of the sales transaction process.

Customers also don't want to be ignored while staff concentrate on entering data into a POS unit to the exclusion of all customer interaction. The focus of the transaction should be the customer not the POS system.

The POS area is often the last point of contact for customers with the organisation so it is important this contact is positive and memorable.

Staff should:

- Always take time to greet and smile at the customer
- Make this contact genuine and not a plastic, robotic, monotone affair.

Reinforce in staff they should always be prepared to answer questions, spend a moment in brief conversation, and thank the customer, wishing them a nice day and expressing a wish to see them again.



POS financial accuracy

All data entered into any equipment must be checked to ensure it is entered in accordance with policies and procedures as they relate to:

- A administration – such as ensuring only properly trained and fully authorised staff use certain POS units and all procedural matters such as signing for floats, counting takings, recording refunds and returns are adhered to
- Pricing items according to store parameters and requirements in terms of mark-up, discounting, specials, sales, etc.
- Recording sales – regardless of how the sales are paid for and ensuring that every item sold is documented and accuracy of the register.

Authorised use of equipment

Only authorised staff should be allowed to use any POS units.

This means that only staff who have either undertaken the appropriate training should operate specific POS equipment.

It must be realised that the most expensive stock control system is ineffective when operatives make incorrect entries into integrated subsystems.

Many stores will restrict access to some items by requiring key or code or some other form of access to units.

Security

In relation to POS entries, security concerns involve:

- Maintaining the security of the cash in the when dealing with customers and entering data
- Processing dockets and transactions accurately, legibly and using the correct documentation, codes or fields so that charges may be quickly and accurately posted and recovered from those who owe us money
- Obtaining all necessary information from customers to facilitate recovery of payment where a non-cash transaction is processed
- Guarding any in-store information, processes, codes, etc. that may enable an unauthorised person access to store information.

Confidentiality

All staff must be made aware of the need to treat all dealings with customers as genuinely confidential occasions.

This means protecting their spending details (what they buy, how much they spend, how often they buy, how they pay, whether they pay on time or not), and protecting their access details such as keeping secret their password, code or in-store credit limit.

Basic issues are keeping customer documentation and cards out of the public gaze, and presenting information to them in such a way that doesn't reveal personal details to other persons who may be standing nearby or eavesdropping.

Accuracy

Even the most high-tech, expensive, complicated and latest electronic equipment will be compromised if the operator keys in the wrong information. This can have severe ramifications for:

- Customer confidence
- Profit margins
- Stock inventory control
- Cash flow
- Revenue
- Allocation of revenue to wrong codes, accounts or supplier services.



Product identification

POS operators must be able to correctly recognise all items so that correct prices may be charged. This is vital in the travel and tourism industry where payments must be made to suppliers of specific products and services including accommodation, meals and subsequent travel. It is vital that the correct amounts are allocated to the correct items.

In addition, this means that the correct vouchers or receipts can also be produced.

4.4 Monitor team to ensure the efficient and safe handling of goods through point of sale areas

Introduction

Customer service and interaction with the customer is a basic requirement of all POS activities.

Staff must include eye contact, a greeting, some acceptable and appropriate small talk, a smile, a "Thank you" and even "Have a nice day" into every transaction they process.

Having said this, though, when staffing a POS area there is also a need to ensure staff move goods through that area efficiently but without pressuring or rushing the customer and with attention to the fragility of the item being packed, and the need for appropriate packaging.

Whilst in a travel and tourism environment the amount of 'physical' items may be minimal, it is important that any 'physical' item or document that is passed to the customer is handled with care.

Whilst documents and vouchers themselves may be of little value, as they are just pieces of paper, the value allocated to them, along with the actual importance of the document may be considerable.



Types of 'physical goods' and 'documents' commonly handled in a travel and tourism environment

Types of physical goods and documents include but are not limited to:

- Travel packs
- Name tags
- Passports
- Hard copy of air tickets
- Credit card receipts
- Vouchers
- Tickets
- Visas
- Customs forms
- International Driver's Licences
- Vaccination Forms - Including Yellow Fever Certificates
- Itineraries and Maps
- Insurance forms
- Accommodation bookings



- Car Hire documents.

Observing handling of 'physical goods' and 'documents'

The best way to monitor the way staff handle and process physical items and documents through the POS area is by personal observation.

Specific concerns about the way they do this task will depend on the nature of the items being sold and processed, but the following serve to highlight aspects that must be taken into account:

- Realise that this is the time when people are parting with their money and receiving documentation relating to travel, so it vital that all relevant items and documents are handed over and explained
- The processing of the sale is the last contact the store has with the customer – so it needs to be a positive experience
- Customers expect staff to take care with their purchase – this is especially important for travel where often large amounts of money are involved.



Handling items through POS area

The keys to handling items through the POS area are:

- Customers must never feel they are being hurried through in favour of someone else
- Customers must never feel that their progress through the POS is slow because staff have better things to do, or couldn't care less
- Their purchases are receiving professional and undivided attention with all the necessary care that involves
- Customer service remains a primary consideration even at this late stage of the buying cycle
- The customer is informed of the reason for any delays, is apologised to and informed of how long the delay is likely to be. This may be due to suppliers providing or forwarding tickets, vouchers or itineraries.

As a final note it is important for managers to check the staff member apply the appropriate farewell to the customer.



4.5 Monitor team to ensure that products and services are matched to customers' needs

Introduction

In previous sections we have explored the importance of:

- Using appropriate selling techniques
- Correctly handling sales transactions
- Handling physical items and documents required for travel.

Whilst it is essential that the above functions are performed according to policies and procedures, it is more important that all activities are focused on the needs of the customer.

This section will look at the concept of ensuring that products being offered to prospective customers to match their stated needs.

Once again, personal observation of staff practice is the best way to monitor whether or not this is happening as required. Feedback from customers is another way of monitoring this.



Types of customers

As a reminder, customers may include:

- New or repeat contacts
- External or internal contacts
- Customers with routine or special requests
- People from a range of social, cultural and ethnic backgrounds and with varying physical and mental abilities.



Essentials in 'meeting customer needs'

The best way to encourage customers to use and buy products and services is to promote them according to a few simple guidelines:

- Ask lots of 'open' questions – these questions get the customer talking and are the best way of obtaining information
- Staff should consider the need to change the nature and focus of their questions to 'refine their search' in their quest to identify exactly what the customer wants, and how best they can meet that expectation
- The further they get through the search for information, the more closed questions become useful, but they are, generally, less effective in the early stages of determining customer needs and wants
- Don't try encouraging customers to purchase something they don't want
- Encourage customer to purchase something they may want.

To adhere to the above guidelines, staff must be accurately informed about the product and service and have the ability to match those products and services according to the customer's needs.

Make sure staff realise commonsense should always be applied when matching products and services with customers and any promotion should be done in accordance with establishment policies and procedures.

Effective questioning and listening skills are also vital in this part of the buying phase.

Staff should try to identify as quickly as possible the predominant drivers behind the customer making their purchase including:

- The purpose or need for the purchase
- What do they want?
- How much are they willing to pay
- Working out who will make the actual and final purchase decision
- Provide options and alternatives
- Put the purchase into context
- Tailoring products and services to the needs of the customer
- Be sure to mention any benefits that apply 'now'



Activity 29 - Role play 'Making a sale'

For your tourism organisation, you are to role play a selling situation which highlights:

- *The selling process*
- *Ensuring the sales process is aimed at the needs of the customer*
- *Undertaking of a sales transaction*
- *Explanation of the policies and procedures that relate to conducting sales transactions*
- *Preparation of sales documents required by the organisation and customer.*

Work Projects

It is a requirement of this Unit you complete Work Projects as advised by your Trainer. You must submit documentation, suitable evidence or other relevant proof of completion of the project to your Trainer by the agreed date.

4.1 Please complete the following activities relating to this Performance Criteria:

- Activities 24,25,26,27,28

4.2. Please complete the following activities relating to this Performance Criteria:

- Activity 29

4.3. Please complete the following activities relating to this Performance Criteria:

- Activity 29

4.4. Please complete the following activities relating to this Performance Criteria:

- Activity 29

4.5. Please complete the following activities relating to this Performance Criteria:

- Activity 29
-

Summary

Implement sales policies and procedures

Implement and monitor adherence to enterprise policy and procedures and relevant legislation in regard to selling

- Planning of sales activities
- Allocating accounts / geographical areas
- Setting sales targets
- Determine the key performance indicators to evaluate sales performance
- Identify sales policies
- Identify sales procedures
- Identify selling situations
- Identify legislative requirements

Implement and monitor organisation policy and procedures in regard to sales transactions

- Importance of sales techniques
- Importance of positive attitude and self-motivation when selling
- Basic sales techniques
- Types of selling techniques
- Up-selling
- Overcoming buying objections
- Closing the sale
- Handling sales transactions

Monitor team to ensure information is entered into point of sale equipment accurately

- Definition of a team
- Monitoring use of POS systems
- The need for POS accuracy

Monitor team to ensure the efficient and safe handling of goods through point of sale areas

- Types of 'physical goods' and 'documents' commonly handled in a travel and tourism environment
- Observing handling of 'physical goods' and 'documents'
- Handling items through POS area

Monitor team to ensure that products and services are matched to customers' needs

- Types of customers
- Essentials in 'meeting customer needs'

Element 5: Monitor achievement of sales targets, business goals and outcomes

5.1 Monitor and record individual and department sales targets according to enterprise policy and procedures

5.2 Monitor and record sales results in line with sales targets and according to enterprise policy and procedures

Introduction

All organisations will have an on-going need to monitor their performance on a number of fronts. These include but are not limited to unit sales, revenue dollars and profit both in terms of dollars and percentages. Whilst these are the obvious areas for attention but there are other factors that equally impact on performance and merit consideration.

The monitoring of sales performance is based on the setting of KPI's and sales targets.

These have been identified in previous sections.

As mentioned, these targets may be set for individual sales staff or for individual departments within the business.

In order to monitor and evaluate sales results you will need to compare sales targets / expectations against actual performance.

This section looks at:

- Where sales performance information will come from
- How this performance may be recorded
- How it could be shared with staff.



Plans and objectives

Most organisations will have some form of plans or objectives that set targets for organisational and individual performance.

Usually there will be:

- A corporate plan – identifying what the performance of the entire organisation is expected to be
- Departmental plans – these are plans detailing the expected contribution from each department to the overall performance of the organisation
- Individual plans – setting out the requirements from individual staff members. These plans spell out the 'budget' or 'targets' or 'projected sales' at each level.



Sources of targets

Plans or budgets will be set either by owners, management or head office.

The targets that are set will be determined on the basis of what the organisation wants to achieve for the term.

This can take into account issues such as:

- Market share
- Return on their investment
- Consistent growth
- The general state of the economy
- Levels of competition
- Company plans in terms of expansion or contraction.
- Enterprise policy and procedures in relation to:
 - Sale of products and services
 - Sales planning and evaluation
 - Approval processes
 - Interaction with customers
 - Interaction with colleagues.



Types of targets

As a reminder commonly the targets will be set in dollars for sales, or 'units sold' but they may also cover areas such as:

- Profit – such as percentage mark-up or percentage cost factor (cost of goods sold)
- Number of people served
- Customer satisfaction levels
- Product quality issues
- Value – identifying customer perceptions about the value-for-money they believe our products represent
- Speed of service – quantifying issues such as waiting times for obtaining customer service advice, point of sale transactions and other service points such as handling complaints, dealing with refunds and exchanges, paying accounts
- Complaints and compliments – quantifying the number of complaints and compliments received, broken down into nominated categories such as 'customer service', 'products', 'price' and 'facilities' etc.



Making use of targets

Plans set can be for various timeframes. Many of these timeframes are useful from a management perspective such as corporate plans that exist for a 12 month, 2 year or 5 year period, but they can be unhelpful in an operational departmental context.

Supervisors will need to break down their departmental targets into smaller subsections that are more useful in tracking departmental performance.

It is common, therefore, for the annual targets for a department to be broken down into monthly targets, weekly targets and even, in some instances, daily targets.

The shorter the time period, the easier it is to identify substandard performance and to take action to modify performance.

This means that most departments will have targets about what sales, profits or unit sales they are expected to achieve every month, week day.



Benefits of monitoring staff sales performance

The benefit of monitoring actual performance against budgeted expectations on a regular basis is so that remedial action can be taken before a trend becomes a disaster and so that a positive result (that is where sales/profit are in advance of projections or expectations) can be identified, extended and exploited.

For example with sales:

- Where figures show we have exceeded budget - then we need to look at what we did for that period to achieve that result. Examining what took place should hopefully provide indicators as to what we can continue to do into the future to repeat those results.
- Where the actual figures indicate results that are below budget - this awareness provides the basis for taking some sort of action to stimulate sales.
- Units sold – in some instances the organisation will be focused on selling a set number of units as opposed to achieving turnover, or even profit. This can be the case, usually only for a short term, in situations such as the opening of the store, an introductory offer, the introduction of a new product or as part of a specific promotional campaign targeting a particular item.



Comparing performance against targets

It is the role of management to compare actual performance to the targets that have been set and determine:

- Whether things are on track
- Whether there are problems
- Whether you are exceeding expectations.

It is important to note:

- Not all performance that is below expectations is necessarily indicative of poor staff performance. The reality may be that unreal targets were set in the first instance.
- Plans, targets and objectives are, and should be, modified from time-to-time as circumstances such as changes in competition, the economy, legislation, the introduction of new products dictate
- These changes are in no way an admission that people got things wrong in the first place, but are an intelligent response to the evolving marketplace.



Sources of actual performance information

Analysis of sales performance of staff must be done by comparing projected sales with actual sales.

The information regarding projected sales will come from the budgets set by management.

Actual sales figures will come from:

- POS equipment – to reveal sales, units sold, sales by individual staff members
- Sales by time of day or week, department, product or service line and a host of subsets
- Store documentation or other databases – many organisations maintain databases that reveal target-related such as:
 - Lists of current customers - via loyalty, or similar, schemes
 - Lists of new contacts - who may, or may not have, converted to actual customers
 - Folios of complaints and compliments,
 - Statistical representations of various aspects of products or services
- The key when comparing actual sales figures against expected figures is you must ensure the data you refer to and use does in fact represent a true and honest picture of what happened for the period under consideration.



For example sales figures must take into account all methods of payment that the store accepts. For instance, depending on the tracking system used, a sale that is paid for in cash will show as an actual sale for that day but there is always the possibility that sales made via an account, on credit etc, will not show as a sale until the account is actually paid.

Recording the performance

Each organisation will have its own procedural requirements in relation to recording actual performance against projected targets.

In most cases, computer systems will automatically 'flag' results that fall outside the acceptable parameters and automatically save the results that have been developed.

You always have the option of creating and maintaining your own supplementary database of results to assist your personal way of working with, or relating to, the data.

Many organisations will require managers to make written or verbal responses to each regular set of reporting figures. This means that if your outlet produces trading figures for your attention on a monthly basis, you may be asked to reply every month to various points. This is usually instances where there is an unacceptable figure or an exceptionally good result.

Your responses will be expected to provide detailed and accurate explanations so that appropriate remedial action can be taken where needed, or so that lessons may be learned and applied to other outlets, departments or individuals in order to benefit from your experience.



Activity 30 - Evaluating sales performance

For your tourism organisation, you are to identify:

- *Types of targets in which to measure and evaluate performance against*
- *Methods used to identify performance.*



5.3 Provide feedback to management and staff on sales performance in relation to sales targets and planning

Introduction

When any performance evaluation has taken place, it is important that the findings are reported back to all relevant persons.

Depending on the information to be provided and the intended audience of the feedback the format will vary.

This section will explore the different methods to provide feedback to management and staff.

Types of feedback

Feedback to management and staff may include:

- Presentations
- Reports
- Informal meetings
- Email
- Financial reports
- Business documents
- Records of sales.



Need for accurate and relevant reports

A critical aspect of sales management is sales reporting. Sales reporting is necessary because it provides important information for us to:

- Determine sales patterns
- Keep track of progress of sales team
- Identify flaws in sales approaches.

Since sales reporting plays such an important role in sales management, it is thus important to ensure that accurate sales reporting takes place. It is only through accurate sales reporting that you can obtain reliable information for making sales management decisions.

It is important to maintain accurate and relevant reports in a manner that can be quickly accessed when necessary. This will enable you and other relevant staff to quickly and easily refer to any policies and procedure they need to learn or be trained in, or just refer to as a refresher.

These reports, when updated, may require consultation with another department or higher management. The replacement or adjustments needs to be closely examined by the right person.



Preparing sales reports

Sales analysis and reporting can reveal important facts about the progress of your sales team and help sales staff and you make necessary adjustments along the way to further improve sales performance. Important facts that a manager typically wants to know may include performance of individual sales staff and individual product or service. Sales analysis can also reveal an organisation's profitability, by departments or even by individual products.

Hence, another important function in managing sales is to analyse and report sales data.

Sales analysis and reporting may be carried out using information technology or done manually.

The former is made possible through the use of sales management software, while manual reporting entails analysing data from a database and converting the data into a report using spreadsheets and office softwares.



Contents of a sales report

Information contained within sales reports may include, but is not limited to:

- Identifying outcomes in terms of key performance indicators and sales objectives
- Identifying sales, bookings and enquiries by individual members of the sales team
- Identifying specific factors that impeded sales efforts, including weather, political activity, economic conditions, staff illness, competitor activity
- Indicating emerging trends
- Indicating products and services that are being regularly mentioned by customers and prospects.
- Recognising and acknowledging effort by the sales team.



Sharing sales related information

Periodically, there will be a need for you to provide your team and management with feedback in regard to achievement or non-achievement of agreed service standards and performance targets.

This feedback must:

- Be fair and accurate
- Be based on facts
- Not be personal in nature.



Explaining sales report information

There are many pieces of information that may be presented including, but not limited to:

- Explaining if your sales strategy and effort work
- Identifying the reasons why they work or not work.
- Significant variations and the factors associated with the changes.
- Unusual results and determine their causes.
- Patterns and trends in consumer behaviours, and the factors that resulted in those behaviours.
- Strengths and marketing opportunities.
- Weaknesses and potential areas of improvement.
- Impact / implications of the results and conclusions on sales performance.



Providing identified market intelligence

Provide identified market intelligence may include:

- Providing new market research data
- Providing recent feedback from clients
- Providing information gathered as a result of personal observation and experience
- Providing data relating to all sales that have been made, including types and volumes of products and services, commissions, timing
- Passing on names and details of prospects to relevant other staff, including referring corporate contacts to the corporate client manager and appropriate others
- Supplying information about new sales techniques and strategies to the sales team
- Advising sales team of changes to relevant organisational policies and procedures.



Providing information to staff and colleagues

It is a good idea to have these feedback sessions on a regular basis. Some organisations do them daily.

The idea of having them regularly is not just to keep team members up-to-date, but also to get them used to having these meetings. There is nothing more damaging to staff morale to begin thinking that every time a meeting is called it must mean bad news.

Daily meetings need only take five minutes and can be done around a morning coffee before work, or standing up at the servery or register. This style of 'meeting' doesn't have to be a sit down affair that runs for 30 minutes.

Your presentation of this information can be at an informal meeting. It is best to do the presentation at a meeting so that everyone gets the story together so that different versions of the facts don't start to circulate.

It is a good idea to:

- Give a general comment – to indicate whether we are on track, ahead of expectations or falling behind
- Focus their thoughts – recap and explain the targets that were set for the department/store
- Assure staff – tell them this is just an information session and stress that no jobs are on the line unless, of course, they are
- Cover each target, one at a time – use each of the targets and go through them individually, giving details and statistics as they apply. Stick to the facts and don't allow irrelevancies from yourself or team members to intrude
- Give specific examples as opposed to generalisations – quote statistics and cite the sources of any information used (sales receipts, advanced orders, cash banked, 'stock sold' sheets)
- Interpret the findings and tell staff what it all means - have they achieved or not achieved?
- Explain what the results mean – given the information you have supplied, it is then necessary to outline exactly what impact the results are likely to have. This may include changes to training, hours, service standards, store layout, advertising, etc.
- Thank and congratulate everyone – do your homework before the meeting and make sure you can find several positives from the information with which to close the meeting. Then thank the staff for their commitment, their time and attendance and their contribution.



The whole idea of these meetings and this feedback is that staff are kept up-to-date about how they are going – the good and the bad.

Providing regular feedback

Timely, regular feedback on achievement of sales targets is important for driving better sales performance. This is because timely information on successful or failed achievement of targets/ goals allows the sales staff to react quickly and make adjustments to re-direct their efforts to handle the challenges faced. This is critical as it helps increase their chances of success ultimately.

For feedback to be effective, sales staff should be informed about the time and procedure to receive feedback. Feedback should not come as a surprise to any staff. When providing feedback, you should communicate actual performance to the sales staff, be it positive or constructive. In the event of the latter, the focus should be on how he/she can improve and the necessary actions to make improvements.



When providing feedback to sales staff, we should also listen to his/her views to obtain an understanding of the prevailing issues that could have prevented him/her from attaining his/her sales targets. Showing empathy and concern is a good motivational practice, as this can drive the sales staff to greater achievements.



Activity 31- Providing feedback to management and staff

For your tourism organisation, explain:

- *The formats you could use to provide feedback to staff*
- *What information you would include in a sales report*
- *What you would do if staff exceeded their sales targets*
- *What you would do if performance was below expected targets.*



Work Projects

It is a requirement of this Unit you complete Work Projects as advised by your Trainer. You must submit documentation, suitable evidence or other relevant proof of completion of the project to your Trainer by the agreed date.

5.1 Please complete the following activities relating to this Performance Criteria:

- Activity 30

5.2. Please complete the following activities relating to this Performance Criteria:

- Activity 30

5.3. Please complete the following activities relating to this Performance Criteria:

- Activity 31
-

Summary

Monitor achievement of sales targets, business goals and outcomes

Monitor and record individual and department sales targets according to enterprise policy and procedures

Monitor and record sales results in line with sales targets and according to enterprise policy and procedures

- Plans and objectives
- Sources of targets
- Types of targets
- Making use of targets
- Benefits of monitoring staff sales performance
- Comparing performance against targets
- Sources of actual performance information
- Recording the performance

Provide feedback to management and staff on sales performance in relation to sales targets and planning

- Types of feedback
- Need for accurate and relevant reports
- Preparing sales reports
- Contents of a sales report
- Sharing sales related information
- Explaining sales report information
- Providing identified market intelligence
- Providing information to staff and colleagues
- Providing regular feedback

Element 6:

Determine factors affecting attainment of sales targets

6.1 Regularly monitor progress towards sales targets

Introduction

Reviewing sales performance is important as it helps us to identify what had happened and to determine how future performance can be improved. It is hence a means for a manager to direct the activities of the sales staff and manage their performance.

As such, sales performance should be reviewed on a regular basis. Otherwise, problems may be detected too late and corrective actions may not be taken in time to ensure optimal sales performance.

Reviewing sales performance also helps us to discover the strengths and weaknesses of our sales staff, and to identify opportunities for improvement.

For example, sales techniques demonstrated by outstanding performers may be adopted by others in the sales team, while weaknesses identified can serve as a basis for the individual's self-development. Hence, by reviewing sales performance regularly, you can proactively develop improvement plans to guide and help sales staff to perform better.



Reviewing, analysing and monitoring sales activities

Analysing and monitoring sales regularly is an important aspect of sales management. By analysing sales performance, we can see clearly the direction in which our sales are headed.

We can also conduct comparative studies to make informed decisions on how to improve our sales performance further.

Identifying the true performance of the sales team is important in that it helps us to:

- Ensure sales targets are realistically set so that motivation levels can be kept high
- Identify the strengths and weaknesses of the sales force, so that we can determine the type of training required to improve the performance of the sales force.



Reviewing activities

Review sales activities may include:

- Evaluating the results of the sales activities with reference to the nominated key performance indicators and sales objectives established by the organisation
- Evaluating the activities undertaken to assess suitability, cost, effectiveness and acceptability to the target market populations
- Identifying innovative activities and suggestions that may have arisen during the previous period.



Determining what data to collect

The first step to analysing and monitoring sales is to determine what data to collect. There are generally two types of data that you may collect and use for analysing sales.

Quantitative data

- Actual sales generated
- Expenses incurred
- Number of contacts or prospects
- Number / Percentage of no-shows
- Number / Percentage of cancellation
- Sales mix.



Qualitative data

- Feedback from customers or colleagues
- Booking patterns
- Customer satisfaction levels
- Effectiveness of sales staff in prospecting new clients.

To have accurate and useful information on sales performance, you should make use of both quantitative and qualitative data. However, quantitative data is often preferred because it is expressed in numbers and is measurable, and it allows unbiased evaluation of sales performance using statistical procedures.

On the other hand, qualitative data being only observable and not measurable is considered to be subject to biased interpretation, as it depends on people's opinions, knowledge and assumptions. Hence, qualitative data is not widely used. But qualitative data can sometimes tell you things and quantitative data cannot. For example, qualitative data may reveal why your sales techniques are working or not working, or the reasons why customers are or not buying your organisation's products or services.

Take note that the type of data to collect will depend on the type of information you want to know and have. It will also depend on the resources you have for collecting the desired data.

Required sales data is usually collected and reported by the sales staff or sales support team, and the data is normally input / recorded into a sales management system or any related database software.



Activity 32 - Identify methods and data to be collected in an evaluation process

For your tourism organisation, identify:

- *Data you would like to collect*
- *Methods that you can use to collect data*
- *Methods you would use to measure performance*
- *Why these methods have been chosen.*



6.2 Evaluate factors affecting sales performance against the agreed sales targets

6.3 Anticipate and address factors likely to impinge upon attainment of sales targets

6.4 Approve amended or new sales targets according to business policy and procedures

Introduction

Where all aspects of marketing and sales performance should be examined with the purpose of improvement, in essence it is vital that any problem areas are addressed immediately.

When we discuss the term 'addressing' it does not automatically mean changes need to be made, instead closer examination and analysis should be made to determine:

- Factors affecting sales performance
- Reasons for poor performance
- Suggested improvements that can be made
- Changes to sales targets.



Factors affecting sales performance

Whilst factors may vary due to the wide range of marketing and sales initiatives that can be introduced as part of an organisation's strategy, some common factors affecting sales performance include:

- Customer requirements
- Market share
- Competitor activities
- Quality of products or services
- Presentation or merchandising of the product
- Associated sales
- Associated promotions
- Promotional tie-ins or co-location
- Merchandise availability
- Logistics.





Activity 33 - Evaluate factors affecting performance

For each of the common reasons affecting sales performance you are to identify:

- Reasons for poor performance
- Suggested improvements that can be made
- Changes to sales targets.

Factor of poor performance	Reasons for poor performance	Suggested improvements	Changes to sales targets
Customer requirements			
Market share			
Competitor activities			
Quality of products or services			
Presentation or merchandising of the product			

Factor of poor performance	Reasons for poor performance	Suggested improvements	Changes to sales targets
Associated sales			
Associated promotions			
Promotional tie-ins or co-location			
Merchandise availability			
Logistics			



Work Projects

It is a requirement of this Unit you complete Work Projects as advised by your Trainer. You must submit documentation, suitable evidence or other relevant proof of completion of the project to your Trainer by the agreed date.

6.1 Please complete the following activities relating to this Performance Criteria:

- Activity 32

6.2. Please complete the following activities relating to this Performance Criteria:

- Activity 33

6.3. Please complete the following activities relating to this Performance Criteria:

- Activity 33

6.4. Please complete the following activities relating to this Performance Criteria:

- Activity 33

Summary

Determine factors affecting attainment of sales targets

Regularly monitor progress towards sales targets

- Reviewing, analysing and monitoring sales activities
- Reviewing activities
- Determining what data to collect

Evaluate factors affecting sales performance against the agreed sales targets

Anticipate and address factors likely to impinge upon attainment of sales targets

Approve amended or new sales targets according to business policy and procedures

- Factors affecting sales performance

Element 7: Conduct ongoing evaluation

7.1 Evaluate marketing and sales activities using agreed parameters and benchmarks

Introduction

With all the information we obtain from the analysis and reporting of sales, as well as those from the evaluation of products and services, we are now ready to interpret these information to make decisions on how to further improve our sales performance.

Monitoring and evaluation mechanisms

In addition to having actions clearly identified for completion, evaluation mechanisms must also be identified to ensure that actions are monitored and controlled on a regular and systematic basis.

Monitoring is an ongoing, regular process of review. Monitoring should occur frequently throughout the life of the business, both on an as-needed basis (when issues arise) and on fortnightly, monthly, quarterly or twice yearly basis.

It is important to remember that monitoring is a valuable tool in measuring the progress of your business which may fluctuate regularly. For example, if you find that your income is down for a month you should not take this as a sign to panic and change/throw out your business plan. Rather you should take note of it, determine possible causes, and take prompt, corrective action.



Evaluation is a longer term process which is all about looking back to see how well you've met the goals you set for your business, and if not why not. Evaluation of your business plan should occur on an annual basis before you set your budget for the next financial year.

Evaluation is when you review the outcome and effectiveness of all sections of your business plan to identify successes and problems and if necessary to put yourself back on the road to growth.

Evaluation processes may include:

- Key performance indicators
- Gap analysis
- Customer feedback
- Compliance reports
- Employee feedback.

If you have developed clear measurable goals, objectives and performance criteria, the evaluation process need not be an overly difficult or time-consuming exercise.

Types of parameters and benchmarks

Agreed parameters and benchmarks may include:

- Volume
- Price
- Territory
- Customer accounts
- Trading terms
- Market share
- Customer satisfaction.



Using sales findings for future sales planning

Interpreting sales analysis and evaluation of products / services is important, as the conclusions we draw will allow us to:

- Track the performance of our sales team and develop appropriate strategies to help them perform better
- Better understand the performance of our products and services and determine how to exploit their strengths and enhance their weaknesses
- Make better sales forecast and set more realistic sales targets in future.

In short, we will be able to:

- Identify the sales turnover achieved by our sales team
- Determine trends in sales and consumer preferences
- Distinguish between strong and weak products / services.



7.2 Make adjustments in accordance with evaluation

Introduction

Where sales and marketing performance is not performing well compared with desired standards, KPI's and targets, in most cases some type of adjustment or change needs to take place.

When looking at the results of these evaluation and measurement actions, there will be a number of adjustments that can be made to improve marketing and sales planning and management in the future.

This section will identify some of the changes that can be made improve sales and marketing performance.



Reasons for adjustments

Adjustments will usually be on the basis of:

- Unsatisfactory performance – basically, expenses being too high or revenue being too low or non adherence to targets
- A business opportunity – such as the opportunity to capitalise on some significant occurrence, new idea or emerging trend
- Customer feedback – demanding the introduction, elimination or modification of some service or facility
- Significant alteration to the marketing or sales strategy.



Types of adjustments

Adjustments that can be made include, but are not limited to changes to:

- Objectives
- Strategies
- KPI's
- Marketing and sales budget
- Types of research
- Target expectations
- Target market segments
- Promotional message
- Promotional mix
- Types of promotions
- Mix of promotions
- Timing of promotions



- Price
- Packages
- Method of distribution
- Sales and marketing management
- People involved in marketing or sales activities
- Training of sales and marketing personnel
- Selling techniques
- Products and services being promoted and sold
- Operational mechanisms.



Making recommendations for change

Now that you have identified a number of adjustments that can be made, it is now time to formally propose changes to be implemented.

The preferred way to formally propose changes is through a recommendation.

In general terms, the more costly the recommendation in terms of funding and other resources, the greater the need for a more formal style of recommendation such as providing a proposal that:

- Detail the problem that is at the root of the recommendation
- Describes the negative impacts of the above situation
- Identifies specific revised targets – which should reflect the initial targets set in sales and marketing plans that are facing difficulty such as income, expenditure, percentages, items sold, etc.
- Sets revised flags to warn of unacceptable deviations to the revised targets – this will help identify revised circumstances when actual performance has deviated unacceptably from revised projected figures
- Presents options for rectifying the position – it is always useful to present more than one possible solution wherever possible
- Sets out implementation costs for each recommendation or option – this should include training, new SOP's, new promotions
- Identifies the benefits of each recommendation or proposal – raised public image/profile of the business, greater sales, new target markets
- Supplies a formal cost-benefit analysis
- Gives realistic timelines for introduction and implementation.





Activity 34 - Making recommendations

Think of a tourism organisation of your choice.

You are to prepare one recommendation that you would make to improve marketing and sales performance.

Initial Problem	
Recommendation	
Benefits of recommendation	
Strategies to implement recommendation	

Resources required	
Potential costs	
Revised targets / KPI's	
Time frame	

7.3 Communicate and implement agreed changes promptly

Introduction

Now that proposed changes have been documented into recommendations, it is now time to discuss them with relevant stakeholders.

The process of discussing marketing and sales strategies with stakeholders has been detailed in Sections 2.3, 2.5, 3.4 and 5.3.

The processes of implementing marketing and sales initiatives have been detailed in Sections 3.2, 4.1 and 4.2.

Communicating changes to marketing and sales plans and initiatives

As a reminder, when communicating changes to marketing and sales plans and initiatives a number of options are available:

Your approach should follow these guidelines:

- Hold a formal staff meeting to inform stakeholders of the marketing and sales plans
- Give them a hard copy of the new marketing and sales plans including:
 - Copies of plans
 - Copies of standards
 - Copies of policies
 - Copies of procedures
- Explain the changes
- Tell them about the dates for introducing the new marketing and sales plans implementation
- Reassure them they are not required to implement the changes 'tomorrow'.
- Inform of the training being provided to support implementation of the new marketing and sales plans requirements
- Encourage questions about the new marketing and sales plans
- Make yourself available to discuss concerns or answer questions.



Work Projects

It is a requirement of this Unit you complete Work Projects as advised by your Trainer. You must submit documentation, suitable evidence or other relevant proof of completion of the project to your Trainer by the agreed date.

7.1 Please complete the following activities relating to this Performance Criteria:

- Activities 30,32

7.2. Please complete the following activities relating to this Performance Criteria:

- Activity 34

7.3. Please complete the following activities relating to this Performance Criteria:

- Activities 14,21,22,23, 24,25,26,27,28,29,31
-

Summary

Conduct ongoing evaluation

Evaluate marketing and sales activities using agreed parameters and benchmarks

- Monitoring and evaluation mechanisms
- Types of parameters and benchmarks
- Using sales findings for future sales planning

Make adjustments in accordance with evaluation

- Reasons for adjustments
- Types of adjustments
- Making recommendations for change

Communicate and implement agreed changes promptly

- Communicating changes to marketing and sales plans and initiatives

Presentation of written work

1. Introduction

It is important for students to present carefully prepared written work. Written presentation in industry must be professional in appearance and accurate in content. If students develop good writing skills whilst studying, they are able to easily transfer those skills to the workplace.

2. Style



Students should write in a style that is simple and concise. Short sentences and paragraphs are easier to read and understand. It helps to write a plan and at least one draft of the written work so that the final product will be well organised. The points presented will then follow a logical sequence and be relevant. Students should frequently refer to the question asked, to keep 'on track'. Teachers recognise and are critical of work that does not answer the question, or is 'padded' with irrelevant material. In summary, remember to:

- Plan ahead
- Be clear and concise
- Answer the question
- Proofread the final draft.

3. Presenting Written Work

Types of written work

Students may be asked to write:

- Short and long reports
- Essays
- Records of interviews
- Questionnaires
- Business letters
- Resumes.



Format

All written work should be presented on A4 paper, single-sided with a left-hand margin. If work is word-processed, one-and-a-half or double spacing should be used. Handwritten work must be legible and should also be well spaced to allow for ease of reading. New paragraphs should not be indented but should be separated by a space. Pages must be numbered. If headings are also to be numbered, students should use a logical and sequential system of numbering.

Cover Sheet

All written work should be submitted with a cover sheet stapled to the front that contains:

- The student's name and student number
- The name of the class/unit
- The due date of the work
- The title of the work
- The teacher's name
- A signed declaration that the work does not involve plagiarism.

Keeping a Copy

Students must keep a copy of the written work in case it is lost. This rarely happens but it can be disastrous if a copy has not been kept.

Inclusive language

This means language that includes every section of the population. For instance, if a student were to write 'A nurse is responsible for the patients in her care at all times' it would be implying that all nurses are female and would be excluding male nurses.

Examples of appropriate language are shown on the right:

Mankind	<i>Humankind</i>
Barman/maid	<i>Bar attendant</i>
Host/hostess	<i>Host</i>
Waiter/waitress	<i>Waiter or waiting staff</i>

Recommended reading

Abbey, James; 2014 (6th edition); *Hospitality Sales and Marketing with Answer Sheet*; Educational Institute

Calvin, Robert; 2007 (1st edition); *Sales Management Demystified*; McGraw-Hill

Foster, Dennis; 2001 (1st edition); *Sales and Marketing for the Travel Professional*; McGraw-Hill/Glencoe

Kotler, P, Bowen, JT and Makens, JC; 2006 (4th edition); *Marketing for hospitality and tourism*; Pearson Education

Kotler, P, Brown, L, Adam, Stewart and Armstrong, G; 2004 (6th edition); *Marketing*; Prentice Hall

Morrison, Alastair; 2009 (4th edition); *Hospitality and Travel Marketing*; Cengage Learning

Morrison, Alastair; 2013 (1st edition); *Marketing and Managing Tourism Destinations*; Routledge

Motel, Doug; 2011 (1st edition); *101 Marketing Tips for Tourism*; CreateSpace Independent Publishing Platform

Porter, ME; 1998 (1st edition); *The competitive advantage of nations*; Macmillan

Rix, P; 2001 (4th edition); *Marketing a practical approach*; McGraw-Hill Inc

Schwartz, Mathew; 2006; *Fundamentals of Sales Management for the Newly Appointed Sales Manager*; AMACOM

Shaw, Margaret and Morris, Susan V; 1999; *Hospitality Sales: A Marketing Approach*; John Wiley and Sons

Trainee evaluation sheet

Develop a marketing strategy and coordinate sales activities

The following statements are about the competency you have just completed.

Please tick the appropriate box	Agree	Don't Know	Do Not Agree	Does Not Apply
There was too much in this competency to cover without rushing.	☐	☐	☐	☐
Most of the competency seemed relevant to me.	☐	☐	☐	☐
The competency was at the right level for me.	☐	☐	☐	☐
I got enough help from my trainer.	☐	☐	☐	☐
The amount of activities was sufficient.	☐	☐	☐	☐
The competency allowed me to use my own initiative.	☐	☐	☐	☐
My training was well-organised.	☐	☐	☐	☐
My trainer had time to answer my questions.	☐	☐	☐	☐
I understood how I was going to be assessed.	☐	☐	☐	☐
I was given enough time to practice.	☐	☐	☐	☐
My trainer feedback was useful.	☐	☐	☐	☐
Enough equipment was available and it worked well.	☐	☐	☐	☐
The activities were too hard for me.	☐	☐	☐	☐

The best things about this unit were:

The worst things about this unit were:

The things you should change in this unit are:

Trainee self-assessment checklist

As an indicator to your Trainer/Assessor of your readiness for assessment in this unit please complete the following and hand to your Trainer/Assessor.

Develop a marketing strategy and coordinate sales activities

		Yes	No*
Element 1: Collect and analyse information on the business environment			
1.1	Identify and analyse information on expected market growth or decline with associated risk factors	☐	☐
1.2	Gather and analyse comparative market information	☐	☐
1.3	Identify and analyse industry and customer trends and developments, including emerging issues and technology	☐	☐
1.4	Identify and analyse the legal and ethical constraints of the market and potential business impacts	☐	☐
1.5	Identify and analyse capabilities and resources	☐	☐
1.6	Record and report information in accordance with enterprise requirements	☐	☐
Element 2: Prepare marketing strategies or plans			
2.1	Identify and analyse opportunities based on internal and external market analysis	☐	☐
2.2	Develop marketing and sales strategies that are consistent with the direction, values and business plans of the enterprise	☐	☐
2.3	Develop strategies in consultation with key stakeholders that clearly identify business goals and outcomes	☐	☐
2.4	Prepare marketing strategies that reflect legal and ethical constraints	☐	☐
2.5	Provide timely opportunities for colleagues to contribute to the marketing plan and approach	☐	☐
2.6	Submit marketing plan for approval in accordance with enterprise policy	☐	☐

		Yes	No*
Element 3: Implement and monitor marketing activities and sales strategies			
3.1	Define and communicate clearly all priorities, responsibilities, timelines and budgets, involving all appropriate colleagues	☐	☐
3.2	Implement and monitor actions detailed in the plan/s in a cost-efficient manner and according to schedule and contingencies	☐	☐
3.3	Produce reports in accordance with enterprise policy	☐	☐
3.4	Share information on marketing activities and sales strategies with staff to maintain awareness of current enterprise focus	☐	☐
Element 4: Implement sales policies and procedures			
4.1	Implement and monitor adherence to enterprise policy and procedures and relevant legislation in regard to selling	☐	☐
4.2	Implement and monitor organisation policy and procedures in regard to sales transactions	☐	☐
4.3	Monitor team to ensure information is entered into point of sale equipment accurately	☐	☐
4.4	Monitor team to ensure the efficient and safe handling of goods through point of sale areas	☐	☐
4.5	Monitor team to ensure that products and services are matched to customers' needs	☐	☐
Element 5: Monitor achievement of sales targets, business goals and outcomes			
5.1	Monitor and record individual and department sales targets according to enterprise policy and procedures	☐	☐
5.2	Monitor and record sales results in line with sales targets and according to enterprise policy and procedures	☐	☐
5.3	Provide feedback to management and staff on sales performance in relation to sales targets and planning	☐	☐

		Yes	No*
Element 6: Determine factors affecting attainment of sales targets			
6.1	Regularly monitor progress towards sales targets	☐	☐
6.2	Evaluate factors affecting sales performance against the agreed sales targets	☐	☐
6.3	Anticipate and address factors likely to impinge upon attainment of sales targets	☐	☐
6.4	Approve amended or new sales targets according to business policy and procedures	☐	☐
Element 7: Conduct ongoing evaluation			
7.1	Evaluate marketing and sales activities using agreed parameters and benchmarks	☐	☐
7.2	Make adjustments in accordance with evaluation	☐	☐
7.3	Communicate and implement agreed changes promptly	☐	☐

Statement by Trainee:

I believe I am ready to be assessed on the following as indicated above:

Signed: _____

Date: _____

Note:

For all boxes where a **No*** is ticked, please provide details of the extra steps or work you need to do to become ready for assessment.

